



NON-VIOLENCE IS THE BEST PRACTICE
- Mahatma Gandhi



One-horned Rhino is the pride of Assam
Poachers are enemies of Assam

SECONDARY EDUCATION DEPARTMENT
GOVERNMENT OF ASSAM



Social Science Part III

Political Science and Economics

A Textbook for Class X
7 Pillars of NITI Aayog



R 7J8X9

HUMAN DEVELOPMENT INDEX

HUMAN DEVELOPMENT INDEX (HDI)

RANKS 2014

Top 5 Countries

1 Norway

2 Australia

3 Switzerland

4 Netherlands

5 United States



135 India

Bottom 5 Countries

1 Sierra Leone

2 Chad

3 Central African Republic

4 DR Congo

5 Niger

Trends in India's HDI



SECONDARY EDUCATION DEPARTMENT
GOVERNMENT OF ASSAM

Cleanliness, Hygiene and Sanitation

For students :

- Wash your hands with soap and water before touching any food item. Also instruct and encourage the other members of your family to do the same.
- Maintain proper cleanliness in and around your house / school premises. Observe the cleanliness in your neighbourhood as well.
- Wash and clean the dishes before serving any food on them to kill germs.
- See that the vegetables, green leaves, etc. are washed properly before cooking.
- Wash the fruits, vegetables, etc. properly before consuming.
- Cut and trim your nails, hair, etc. on a regular basis.
- Keep the surrounding and drains of your house clean so that mosquitoes and other germ carrying insects don't breed on them.
- Never keep food and drinking water uncovered.
- Always drink filtered and purified water.
- A proper drainage system in your residence as well as school premises should be built and maintained properly.
- Water should not be allowed to gather and log in and around your house and school premises. Stagnant water serves as breeding place for mosquitoes, flies etc.

Cleanliness, Hygiene and Sanitation



For students :

- Wastes such as animal and human excreta, solid wastes, domestic wastewater etc. may cause health problems if pit latrines, dry toilets, urine-diverting dry toilets, septic tanks are not built and maintained properly. For sewage treatment and excreta management septic tanks are necessary at home and in school compound.
- There should not be any garbage or waste material gathering dump near our residences.
- Lack of sanitation usually results in open defecation and open urination which leads to serious public health issues. Even if toilets are available, people still need to be convinced to refrain from open defecation and to use toilets. Therefore, the need for behavioural change is critical in addition to the provision of toilets. The microorganisms contained in human faeces may enter the body through contaminated food, water, eating and cooking utensils and by contact with contaminated objects. Some fly species are attracted to or breed in faeces. Infectious diseases are transmitted through contact with soil contaminated with faeces and may spread rapidly where open defecation occurs. These infections will contribute to several disease and malnutrition, and therefore also render people more susceptible to other diseases.
- Recycle bins must be placed at various places in schools to promote recycling of waste among students, teachers and other employees. Develop the habit of disposing of waste properly in appropriate bins only.
- Use disinfectant and pest control measures on a regular basis. But pesticides should be kept separately with care.
- Cleanliness, Personal hygiene, Good sanitation provide a clean school environment that nurtures good health.

Social Science

Part-III

POLITICAL SCIENCE AND ECONOMICS

Textbook for Class x

Political Science

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Free Textbook

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(Third Edition, 2017)

Foreword

Social Science as a compulsory subject includes four disciplines– History, Geography, Political Science and Economics. With the introduction of History and Geography in Social Science, these two subjects no longer remained as separate compulsory subjects in the secondary curriculum of the Board of Secondary Education, Assam (SEBA). But unlike the other state Boards or CBSE, SEBA has been offering History and Geography as Elective Subjects for the students. In spite of these special provisions existent in the syllabi of SEBA, the Board has revised the syllabi of Social Science in 2014 with the objective to provide wider range of Assam History and Assam Geography within the fold of the syllabus of Social Science. Now, Social Science textbook is divided into three volumes– History, Geography and Political Science and Economics. Against this backdrop this volume of Geography has been published as a separate textbook Social Science Part-II. While preparing this textbook, special attention has been paid to make the text interesting to the students and hope that they can apply the knowledge and also link their learning experiences in their real life.

Moreover a new chapter has been included in the book for Internal Assessment from 2020 academic year. The students will be benefited from this chapter if the teachers transact the matter properly in the classroom.

Ramesh Chand Jain, IAS (Retd.)

Chairman

Board of Secondary Education, Assam

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INDIAN DEMOCRACY

KEY POINTS

- Ideals of constitution
- Federal characteristics of the Indian constitution
- Parliamentary democracy in India

1.0 Introduction :

India was under the British subjugation for nearly two centuries (1757-1947). But with the attainment of freedom from the British on 15 August, 1947, India stood as the biggest democratic country in the world. A constitution is very essential for an independent and democratic country, because the constitution and democracy both are complementary to each other. As such, there cannot be a true democratic state without having a constitution of its own. Similarly the role of a constitution is meaningless without having democracy. In fact, the process of making a constitution had begun even before India attained her independence. In the general elections held in July, 1945 in England, the Labour Party came to power and the new government took the decision to declare independence to India. Accordingly, the Labour Party Government of England felt the utmost necessity of a constitution for the new democratic state i.e. India. As such, the British government sent the "Cabinet Mission" to India in March, 1946 to create a congenial environment and to make necessary preparation for framing a new

constitution of India. The Cabinet Mission was a unit of three cabinet ministers of England. With the initiative of the Cabinet Mission, a Constituent Assembly was formed and its first ever sitting was held on 9 December, 1946. The senior member of the Constituent Assembly, Dr. Sacchidananda Sinha presided over the first sitting. Dr. Rajendra Prasad was elected the permanent President of the Constituent Assembly. Altogether eleven sittings of the Constituent Assembly were held in relation to the preparation of the new constitution of India. The Constituent Assembly constituted a Drafting Committee on 29 August, 1947. The Drafting Committee which was constituted with seven specialists all belonging to divergent fields, was given the great responsibility of preparing the draft of the constitution. Dr. B.R. Ambedkar was the chairman of the Drafting Committee. After a three years long rigorous labour, the Drafting Committee prepared the draft copy of the new Indian constitution and the same was handed over to its President Dr. Rajendra Prasad on 26 November, 1949. With the signature on the draft copy of the new constitution by Dr. Rajendra Prasad, the people of India got a new constitution for themselves. But the new constitution came into force only on 26 January, 1950 due to many administrative and other related problems. It is to be noted that India was governed in accordance with the provisions of the Govt. of India Act, 1935, between the period from 15 August, 1947 to 26 January, 1950.

1.1 Ideals of the Constitution:

Before going to know the ideals and objectives of the Indian constitution we have first to know the Preamble of the Indian constitution.

The Preamble is the introduction to the constitution. In the introduction of a book all about the book is briefly mentioned. Similarly in the Preamble of the Indian constitution, the main features viz., ideals and objectives of the constitution have been described. That is why the Preamble of the Indian constitution is regarded as the soul, the conscience, the threshold and the keys of the Indian constitution. In fact, to grasp the inner spirit of the constitution one should go through the Preamble of the constitution. Because, each and every word mentioned in the Preamble, bears ideals, philosophy and objectives of the constitution. Every word in the Preamble which begins with the words, "We the people of India", bears certain meaning and ideal. It is important to mention that the makers of the Indian constitution paid due attention



Preamble

WE THE PEOPLE OF INDIA, having solemnly resolved to constitute India into a SOVEREIGN, SOCIALIST, SECULAR, DEMOCRATIC, REPUBLIC and to secure to all its citizens:

JUSTICE, social, economic and political;

LIBERTY of thought, expression, belief, faith and worship;

EQUALITY of Status and opportunity;

and to promote among them all

FRATERNITY assuring the dignity of the individual and the unity and integrity of the nation;

IN OUR CONSTITUENT ASSEMBLY this twenty-sixth day of November, 1949, do HEREBY ADOPT, ENACT AND GIVE TO OURSELVES THIS CONSTITUTION.

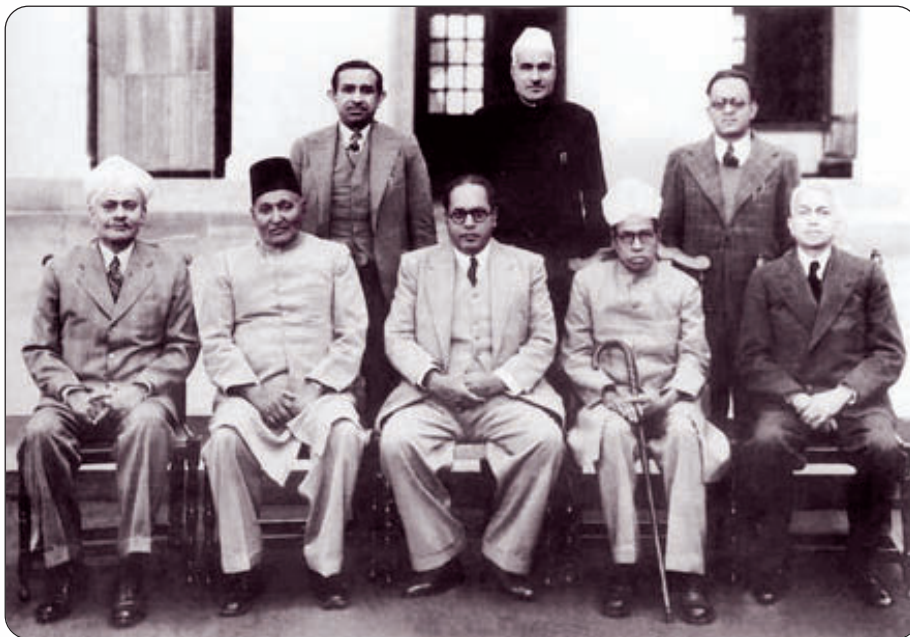
When the new constitution of India came into force on 26 January, 1950 the words– Socialist, Secular and Unity were not included in the Preamble. Later on these words were incorporated in the Preamble through the 42nd constitutional amendment on 18 December, 1976.

The members of the Drafting Committee of the Constitution

- ❖ Dr. B. R. Ambedkar (Chairman)
- ❖ N. Gopalaswami Ayengar
- ❖ Alladi Krishnaswami Iyer
- ❖ K. M. Munshi
- ❖ Syed Mohammad Sadulla
- ❖ N. Madhava Rao
- ❖ D.P. Khaitan



Dr. B. R. Ambedkar



The members of the Drafting Committee of the Constitution

to manifest every aspect of rich ancient Indian culture and civilization as the guiding principles in the pages of the Indian constitution.

With the words, "We the people of India" in the Preamble of the constitution, its makers made it crystal clear in definite terms that the actual authority of the constitution is the Indian people themselves, it belongs solely to them and they are the main force behind the making of the Indian constitution.

The significant words in the preamble are Sovereign, Socialist, Secular, Democratic and Republic. All these words reflect the ideals and spirit of the constitution.

Sovereign : India is a Sovereign state. Sovereignty is the supreme and absolute power of the state. In other words externally India is not subordinate to any foreign power nor is India directed by any other force internally.

Socialist : India is a socialist state. This word was incorporated in the Preamble through the 42nd constitutional amendment in the year, 1976. The word signifies that there shall not be inequality among the people of India in regards to their income, status and the standard of living. All the ways and means of production would be nationalised. Socialism shall be established through the equal distribution of the national income and the mixed economy. The national economy shall be determined by the people themselves. Country's economy shall not be guided by any capitalist class of people.

Secular : India is a secular state. There shall not be any official or state religion in India. In the eyes of the government all religions are equal and as such there shall not be any discrimination among the religions. The government shall not show any special interest or make concessions to any particular religion. It is to be noted that this word was inserted in the Preamble of the constitution by the 42nd constitutional amendment.

Democratic : India is a democratic state. The administration of the country shall be governed by the elected representatives of the people. The people shall administer the country for themselves and the administration shall be responsible to the people.

Republic : India is a republic. The Head of the state (the President) shall be elected by the people. The post of the Head of the state shall not be hereditary nor a person selected by someone.

In addition, it has been mentioned in the preamble that the people of India shall establish justice, liberty, equality and fraternity in the country.

By mentioning the establishment of justice, liberty, equality and fraternity, the makers of the Indian constitution have particularly reflected the ideals and objectives of the constitution.

In fact, Pandit Nehru put forward a few objective resolutions of the constitution at the Constituent Assembly on 13 December, 1946. The Constituent Assembly accepted the objective resolutions of the constitution on 22 January, 1947. In the process of making the constitution those proposals were adopted as the basis and thus the concept of such ideals like equality, liberty, democracy, sovereignty and world fraternity were given the formal recognition by the Constituent Assembly.

The main points of the objective resolutions put forward by Pandit Nehru are as follows :

1. The Constituent Assembly is determined to declare India as Independent Sovereign Republic. (Later on the word "Independent" was removed.)
2. A union of states shall be constituted with the British-ruled Indian territory and the erstwhile princely kingdoms willing to join the Indian territory.
3. Social, economic and political justice, equality, religious liberty, freedom of expressing thought and opinion of the Indian people will be duly recognised.
4. There shall be measures to safeguard the interests of the Schedule Caste, Schedule Tribe, backward classes and the Minority people of India.
5. Importance shall be given to safeguard the freedom, sovereignty and integrity of the country.
6. India shall extend full cooperation for the sake of cordial international relations, world peace and welfare of the people.
7. The people of India shall be the source of all powers. The government of the sovereign state and its constituent parts shall obtain their power from the people.
8. The indigenous princely states desiring to join the Indian union shall enjoy the status of its constituent province through self-governance with the residuary powers.

The makers of the Indian constitution manifested the aforesaid resolutions of Pandit Nehru as the main basis and thereby giving due importance to the ideals, legacy of the thousands of years old Indian culture and civilization.

1.2 The Federal Characteristics of the Indian Political System:

Before going to know about the characteristics of the Indian federal system, it is essential to know what a federal state is. In fact, the English term, 'Federation' is derived from, the Latin word "Foedus". Its literal meaning is "Agreement" or "Treaty". Thus, Federal state is a union of states, united through mutual agreement or treaty. In this case, the constituting provinces recognise the sovereign power of a central (union) government and simultaneously these provinces retain their own liberty (freedom) and individuality. However, the federal system has adopted different varieties in different countries. In India, the constituting provinces have bestowed sovereign powers upon the central (union) government.

Even before independence the federal system was set up in India as per the Govt. of India Act, 1935, which was passed by the Parliament of England. This Act introduced federal system in pre-independence India on the basis of two-tier government (central or union and provincial) and distribution of powers. Hence, the federal system introduced by the new constitution was not at all unfamiliar to the people of India.

The federal system was first introduced in the United States of America (USA). Thus, the USA is regarded as the Homeland of Federation. However, the makers of the Indian constitution followed the constitution of Canada while choosing federal system for India. Here a question arises as to why the makers of the Indian constitution adopted the constitution of Canada instead of the USA. In fact, the system of the USA was the real federal system, where the constituent states enjoy more freedom and dual citizenship supported by a separate constitution.

The makers of the Indian constitution realised that, if the constituent states of new born India are allowed to enjoy separate constitution and dual citizenship like the USA, the national integrity may be endangered. Hence, the makers of the Indian constitution introduced a kind of a loose federation following the Canadian constitution. Infact, the word "Federation" has not been mentioned in the Indian constitution for the fact that the Indian federation is not a prototype of the US federation. Instead, India has been declared a "Union of States" in the Article No.1 of the Indian constitution.

If we go to analyse the real nature of Indian federal system it will come to light that, it is not a true federal system, though it has some

characteristics of federation. Some characteristics of Unitary Government have been merged in this federal system. So the learned makers of the Indian constitution have categorically mentioned our political system as "Quasi-federal", "Peculiar federation", "Centralised federation" and "Federal in form but unitary in spirit." Unlike the constituent states of the USA, the constituent states of India have no right to secede from the Indian Union. Unlike in some other federal states (as in the USA), the constituent states of the union of India do not have the provision of a separate constitution for them. There is only one constitution for the whole Indian federation and that is the Constitution of India. The central government in India is more powerful than the government of other federal states. Though the constitution has distributed the powers between the central (union) government and the state government through the inclusion of three lists incorporating various administrative powers, yet all the important powers have been centralised to the central or Union Government. The appointment procedure of the Governors in the constituent provinces does not corroborate the federal character of India. The Governor performs his/her role as the representative of the central (union) government in the state.

Further, unlike the USA, the provision of dual citizenship has not been granted in India. One citizen is the only citizen of India. She/He cannot be a citizen of other constituent state. For such and other reasons Indian federal system is an exceptional one. It has already been mentioned that the main reason behind adopting such an exceptional federal structure was to ensure the sovereignty and integrity of the country. However, occasionally demands are raised to bring certain constitutional amendments to India's federal structure in order to give some freedom to the constituent provinces. Because of such demands the Sarkaria Commission was set up in 1983. As the conflicts between centre and state have frequently occurred, bringing about a change in the centralised federal system has become a call of time to resolve such conflicts.

The Indian federal system is mainly dependent on the centre-state relationship. Observing this nature of Indian federalism, the political analysts have referred to it with a new term 'Cooperative Federation'.

1.3 Parliamentary Democracy in India:

Before going to discuss the parliamentary democracy in India, we must know what the parliamentary democracy is. The parliamentary democracy

is such an administrative system whereby the highest administrative powers are vested in a body which is constituted with the people's representatives. Such body constituted by people's representatives is known as the Congress in the USA, and in India and England, the same is known as the parliament. The Indian Parliament has been constituted with two Houses, namely the House of the people (Lok Sabha) and the Council of states (Rajya Sabha). The President of India is a part of the Indian Parliament. In short the democratic system where the parliament is given utmost importance is regarded as the Parliamentary democracy.

In the post independence period the Indian Parliamentary democracy has been able to provide a government that is mostly responsible to the people. The makers of the Indian constitution had followed the constitution of England in particular while adopting a Parliamentary form of Government in the constitution. In fact, the Govt. of India Act, 1935 had also introduced a parliamentary form of government in a limited form in the pre-independence India. Although, the Indian constitution has been influenced by the Parliamentary system of England, nevertheless the makers of the Indian constitution did not follow the English constitution blindly. Instead they gave due importance to the political and social conditions and the environment of India and whatever ideas followed from England were Indianised to place in the constitution. As a result, the Indian Parliamentary democratic system has become quite exceptional.

The main differences between the Parliamentary democratic system of India and that of England are noteworthy. Firstly, the Indian Parliamentary democracy makes India a Republic. But England's Parliamentary democracy is not a republic. Unlike in England, the Head of the state in India's Parliamentary democracy is not an hereditary person. While England's Head, King or Queen, is an hereditary one, India's Head of the state is a person elected by the people. Secondly, the power and composition pattern of the Upper House (Rajya Sabha) of India are quite different from that of the Upper House (House of Lords) of England. Thirdly, the Parliament of England is most powerful in the Parliamentary democratic system. But India's Parliament is not so powerful. Ultimately, the Indian constitution has created the parliamentary democracy making suitable to Indian situation, which has been able to present India as a distinguished Parliamentary Democratic Country in front of the world.

S U M M A R Y

- ☞ The Indian constitution came into force on 26 January, 1950. India was governed in accordance with the Govt. of India Act, 1935 from 15 August, 1947 to 26 January, 1950.
- ☞ The significant words included in the Preamble are "Sovereign", "Socialist", "Secular", "Democratic" and "Republic".
- ☞ There is no mention of "Federation" in the Indian constitution as the same has not been made the model of true federation as found in the USA. Instead, India has been declared a Union of States in the Article No.1 of the constitution.
- ☞ The Govt. of India Act, 1935 had also introduced the parliamentary form of government in pre-independence India in a limited form.
- ☞ The Parliamentary democracy has been successful to establish India as a respectable Parliamentary democratic state in the whole world.

E X E R C I S E

Very short answer questions :

1. Which political party won the elections held in 1945 in England?
2. When did the "Cabinet Mission" come to India?
3. Who was the first Chairman of the Constituent Assembly?
4. Who was the President of the Drafting Committee of Indian Constitution?
5. In which constitutional amendment, were the words "Socialist" and "Secular" incorporated in the "Preamble"?
6. From which Latin word has the English word "Federation" been derived?
7. Which country is regarded as the "Homeland" of federation?
8. Is there Dual citizenship system in India?
9. From which country's constitution has the concept of India's Parliamentary democracy been followed?

Short answer questions :

1. Why did the British government send the Cabinet Mission to India?
2. According to which Act, India's administration was governed between 15 August, 1947 to 26 January, 1950 and who enacted this Act?
3. Why are the words "We the people of India" have been incorporated in the preamble?

4. What is meant by the term Sovereign?
5. According to which constitutional amendment the two words "Socialist" and "Secular" have been incorporated in the Preamble and in which year?
6. What is meant by "Quasi-federal state"?
7. Which Indian Act had introduced limited Parliamentary democracy in pre-independence India?

Long Answer Questions :

1. Discuss how the ideals of the Indian Constitution have been manifested in its Preamble.
2. Write in detail about what is meant by sovereign, socialist, secular, Democratic and Republic.
3. Discuss the objective resolutions put forward by Pandit Nehru in relation to the Indian constitution.
4. Discuss the characteristics of the Indian federal system.
5. Explain the important characteristics of the Parliamentary form of government in India.



Chapter 2

INTERNATIONAL ORGANIZATION – THE UNITED NATIONS ORGANIZATION AND OTHERS

Main points of discussion

- The objectives of the UNO and its organs
- The United Nations and the world peace
- The United Nations and Human Rights, Human Rights Commission in India
- Other important international institutions

2.1 The Objectives of the United Nations and its Organs:

After the World War-I (1914) the League of Nations was formed to ensure world peace and to stop wars in future. However, because of its failure the World War-II broke out in 1939. The magnitude of the devastations brought by the Second World War made the world population so scared that they re-started thinking about the formation of another world organization. As a result another world organization namely the United Nations Organization was formed on 24 October, 1945. Altogether 51 states put their signature to the UN charter in the San Francisco Conference and thus the UNO came into being. Since the birth, it has been doing its best to save the people of the world from the danger of another world war. The people of the world observe the day of birth of the UNO, i.e. the 24 October as the UN DAY all over the world.

At present with 193 member states, the UNO has been engaged ceaselessly for the peaceful solution to all the disputed issues for which the world people have been extending support to it. The Head office of the UNO is situated at New York in the United States of America. The objectives of the UNO are stated below :



2.1.1 The Objectives of the UNO :

There are altogether 111 Articles in the UN charter. In its very first Article, four objectives of the UNO have been incorporated. They are

1. To maintain International peace and security
2. To establish friendship among all countries of the world on the basis of equal rights and self determination.
3. To bring about solutions of the existing economic, social and cultural problems and disputed issues on the basis of the international cooperation so that each and every individual person becomes able to enjoy Human Rights and Fundamental Rights.
4. To perform as a centre of excellence to establish good and cordial relations among various countries to achieve the aforesaid objectives.

2.1.2 The Principles of the UNO :

The principles of the UNO are as follows-

1. The UNO is established on the principle of equal sovereignty of all member countries.
2. All the member states shall perform their own duties and responsibilities by obeying the Rules as mentioned in the UN charter.
3. All the member states of the UNO shall settle all the disputes peacefully and without affecting international peace, security and justice.
4. In the interests of maintaining cordial international relations all

members shall refrain from threat or use of force against any state.

5. The member states shall extend help and support to the UNO if and when the UN asks for, as in the UN charter and no member state would extend help or support to the particular state or states that are facing UNO's punitive action.

2.1.3 : The organs of the UNO

The Six organs of the UNO are (1) General Assembly (2) Security Council (3) Economic and Social Council (4) Trusteeship Council (5) International Court of Justice (ICJ) and (6) Secretariat.



The Present UN Secretary General Antonio Guterres

(1) General Assembly : General Assembly is the biggest organ of the UNO. The General Assembly is formed by all the member states of the UNO to which each member state sends five representatives. But at the time of voting each member state can cast only one vote. The session of the General Assembly is held once in a year. Since the size of the General Assembly is gigantic, therefore it performs its various activities through some committees.

(2) Security Council : The Security Council is the most important organ of the UNO. At the time of the UNO's inception there were five permanent members and six temporary members. In the year 1963, the 23rd Article of the UN charter was amended thereby increasing the temporary members to ten from the existing six. The temporary members of the Security Council are elected by the General Assembly. The permanent member states of the Security Council are the USA, Great Britain, France, Russia and China. In order to take decision on any important matter, altogether minimum nine members including five permanent members of the security council must give their consent. Each of the 5 permanent members has the right to exercise veto power. As a result no decision can be taken on any matter even if one permanent member of the Security Council differs and uses its veto power.

(3) Economic and Social Council : At the time of inception of the UNO, the total number of members of the Economic and Social Council was 18. But in 1965 its members were increased to 27 and finally the number of its members was raised to 54 in 1973. The General Assembly

elects the members of this council for a tenure of 5 years. This Council was formed in accordance with the Article 55 of the UN charter to perform its duties in relation to all international economic, social, cultural, educational, health and other related problems. The Council submits its report with necessary suggestions on the aforesaid subjects to the General Assembly after proper study.

(4) Trusteeship Council : The Article 76 of the UN charter refers to the formation of the Trusteeship Council. The Trusteeship Council was formed to make the people of the countries under its jurisdiction for the attainment of freedom by making progress in economic, political, social and educational fields. The Trusteeship Council consists of three types of members namely (A) The countries falling within the jurisdiction of the Trust (B) The permanent members of the Security Council who are not entrusted with the responsibility of the countries under the Trust, (C) The members who are elected by the General Assembly for three years.

(5) International Court of Justice (ICJ) : The International Court of Justice is the judicial organ of the UNO. This is an important organ of the UNO formed with 15 Judges. All the member states of the UNO are its members. The main function of the ICJ is to settle the cases filed by the affected member states of the UNO. The disputed states are bound to accept the verdict passed by the ICJ.

(6) Secretariat : The Secretariat is like the heart of the UNO. This is formed by its Secretary General and other staff. The Secretariat executes and implements all the decisions taken by the UNO. According to Article 97 of the UN charter, the General Assembly appoints the Secretary General with the recommendation of the Security Council. The role of the permanent members of the Security Council is very significant in the appointment of the Secretary General. His tenure is 5 years duration, but he/she may be re-elected. The first Secretary General of the UNO was Tryvehaldan Lee of Norway. The present Secretary General is Antonio Guterres of Portugal.

Apart from the six organs of the UNO, the other Agencies of the UNO are (1) International Labour Organization (ILO) (2) World Health Organization (WHO) (3) Development Planning Agency of the UNO (UNDP) (4) United Nations Human Rights Commission (UNHRC) (5) United Nations International Children's Emergency Fund (UNICEF) (6) United Nations Educational Scientific and Cultural Organization (UNESCO) (7) International Monetary Fund (IMF) (8) Food and Agriculture Organization (FAO).

2.2 The UNO and the world peace:

The UNO which is turning 70 years by now was established in 1945 after the World War-II. The very objective of the UNO was to remove the fear of war and its subsequent devastations from the mind of the world people forever and to build a peaceful world. The role that the UNO has been playing during this long period to create a peaceful environment in this problematic world through discussion and mutual understanding, is in fact encouraging, inspiring and also positive. However, in many cases, the strong stand taken by the USA and frequent US interventions through military activities without the UN recommendation and approval, has certainly created some tremor in the efficacy of the UNO. Nevertheless, the UNO has been proved successful in difusing many warlike situations on several occasions during UNO's long run.

The bold steps taken by the UNO to remove the war like situations among the nations through disarmament is certainly significant and praiseworthy. In January, 1952, the UNO had established the Disarmament Commission. The UNO has accorded many treaties to bring about peace in the world. Among those, important treaties are – the Partial Nuclear Test Ban Treaty (1963), the Outer Space Treaty (1967), the Nuclear Non Proliferation Treaty (1968), the Seabed Control Treaty (1971), SALT-I (1972), SALT-II (1979), Nuclear Arms Control Treaty (1993), the START-I (Strategic Arms Reduction Treaty, 1991) and START-II (1993) and the Comprehensive Test Ban Treaty (CTBT) (1996). CTBT was supported by as many as 158 nations. These are certainly a great intervention for the peace loving people of the world. In the long run the Preventive Diplomacy adopted by the UNO in June, 2007 has certainly helped to take initiative in settling disputes through discussion.

On the whole, it is the sole duty and responsibility of the member states of the UNO to make the UNO strong, competent and united. With the good will, cooperation and loyalty of the members, the UNO may be able to bring about world peace.

2.3. The UNO and the Human Rights Commission:

The Human Rights Commission of the UNO was set up on 16 February 1946. This permanent organization came into being in order to secure the rights of the people of the world. At the inception of this organization there were 18 members. In 1962 the number of members of the Commission was increased to 21. Again in 1993 its number was increased to 53. The members of the Human Rights Commission are elected for three years. The Commission takes its decision on the basis of the majority of vote.

The Human Rights Commission seeks reports on the violation of human rights from the member states and it takes up such cases for hearing.

2.3.1. The Human Rights Declaration of the UNO:

The UNO which was formed to increase cooperation among its member states and to ensure a peaceful environment in the world, has also emphasized the aspect of Human Rights. The General Assembly of the UNO adopted the Human Rights Declaration on 10 December, 1948 with the support of the 48 member states to secure the Human Rights that are essential for each individual to live a dignified human life. That is the reason why the day 10th December is being celebrated as the World Human Rights Day all over the world every year.

The Human Rights Declaration which consists a Preamble and 30 Articles has mainly served two objectives. Firstly, the rights of the people of the world have been incorporated in this Declaration. Secondly, the member states have given recognition to these rights which have been mentioned in the Declaration.

It is noteworthy that the human rights mentioned in the Declaration have brought certain limitations to the powers and functions of the member states of the UNO. Because on principle, no state can ignore these rights. The UNO has made it clear through the Human Rights Declaration that by depriving the citizens of the country of their rights, it is not possible to secure international peace and security. It is encouraging and praiseworthy that the UNO has taken positive steps for the citizens of the world to live a dignified life.

Although the Human Rights Declaration is not a Treaty and the member states of the UNO are not bound, nevertheless this Declaration with the good will of the member states of the UNO has helped the people of the world to make all round development of their personality.

2.3.2 National Human Rights Commission (India) :

In 1966 the UNO adopted a resolution and it sought suggestions from all its member states regarding the formation of Human Rights Commission in the respective state. In 1970 the Human Rights Commission of the UNO pursued the issue of forming Human Rights Commission in all the member states seriously and accordingly the UN proposal in this regard was put forward to all the member states. Again in June, 1993 in the Human Rights Commission's conference held in Vienna, the issue of forming Human Rights Commission in each of the UN member states was reiterated. As a result such Human Rights Commission was formed in the member states to secure and protect human rights in respective states.

On 28 September, 1993 the president of India through an ordinance formed National Human Rights Commission in India. On December 18 in the same year

a bill was tabled in the parliament in place of the ordinance. On 8 January, 1994 the president gave his consent on the Bill and the same became an Act. The same Act is known as the Human Rights Protection Act, 1993. In accordance with this National Human Rights Commission, State Human Rights Commissions have also been set up in the provinces.

The Chairman of the National Human Rights Commission should be a retired Chief Justice of the Supreme Court. Among other members are (1) one member is either a serving or a retired judge of the Supreme Court (2) another member is either a serving Chief Justice of any High Court or retired Chief Justice of High Court and (3) two members are from those having knowledge and experience on human rights activities as activist.

In addition the chairman of the National Minority Commission, the chairman of the Schedule Caste and Schedule Tribe's National Commission and the chairman of the National Women's Commission shall be the members of the National Human Rights Commission. The president of India appoints all the members of the Commission for 5 years.

The Commission shall take up all the human rights violation cases in India and after proper scrutiny and review, it shall submit its report to the Government for necessary action. On the whole the National Human Rights Commission must play the role of a sentinel so far the human rights are concerned.

2.4. Other important International Organizations:

Apart from the UNO, other important international organizations are—

International organizations	Head Quarters
(1) Commonwealth of Nations	London
(2) Amnesty International (AI)	London
(3) North Atlantic Treaty Organization (NATO)	Brussels
(4) International Renewable Energy Agency	UAE
(5) Asia Pacific Economic Corporation (APEC)	Singapore
(6) Association of South East Asian Nations (ASEAN)	Jakarta
(7) International Cricket Council (ICC)	Dubai
(8) International Federation of Football Association (FIFA)	Zurich
(9) World Economic Forum (WEF)	Geneva
(10) International Hockey Federation	Lausanne, Switzerland
(11) South Asian Association for Regional Cooperation (SAARC)	Kathmandu, Nepal

S U M M A R Y

- ☞ The UNO was set up on 24 October, 1945
- ☞ 24 October is celebrated as the UN DAY every year
- ☞ Altogether there are 111 Articles in the UN charter
- ☞ The six organs of the UNO are (1) General Assembly (2) Security Council (3) Economic and Social Council (4) Trusteeship Council (5) International Court of Justice (6) Secretariat.
- ☞ The steps taken by the UNO to eradicate war like environment among the countries of the world through Disarmament is quite significant and laudable.
- ☞ The UN General Assembly adopted the Human Rights Declaration with the support of 48 member states of the UNO on 10 December, 1948.
- ☞ The president formed the National Human Rights Commission on 28 September, 1993 through an ordinance. On 8th Jan, 1994, it became an Act.

E X E R C I S E

Very short answer questions :

1. Why was the UNO formed?
2. Mention two objectives of the UNO.
3. Write the names of the UN organs.
4. Write the names of the two Agencies related to the UNO.
5. Write the names of two Treaties which were signed on Disarmament.
6. What is meant by Human Rights?

Long Answer Questions :

1. Discuss the aims of the UNO for which it came into existence and also discuss its principles.
2. Write a note on the Security Council of the UNO.
3. Discuss the steps taken by the UNO on world peace.
4. Write a note regarding National Human Rights Commission in India.
5. Discuss the steps taken by the UNO regarding Human Rights.



MONEY AND BANKING

KEY POINTS

- Barter System and its disadvantages
- Evolution of Money
- Money– its concept, characteristics, functions, classification, role and disadvantages.
- Bank– its concept, origin, classification and function.
- Non Banking Financial Institutions.

'Every time you spend money, you're casting a vote for the kind of world you want'

–Anna Lappe

1.01. What is barter?

Barter is the direct exchange of commodities against commodities. No individual is self-sufficient. No individual can produce all the goods and services that the individual needs to satisfy various wants. Therefore, individuals are inter-dependent. Interdependence leads to barter. Individual A produces rice but does not produce sugarcane. Individual B produces sugarcane but does not produce rice. Individual A depends on B for sugarcane; individual B depends on A for rice. There is direct exchange of the two commodities, rice and sugarcane, between A and B. What is true of individuals is also true of countries. Lack of self-sufficiency leads to interdependence. Interdependence gives rise to exchange at the international level.

1.02 Disadvantages of the barter system:

At the dawn of civilisation the barter system did not have any serious problem. Population was less. Life was simple. Wants were few.



Jonbeel Mela where the traditional barter system still prevails.

The size of the market was small. However, as time rolled by serious problems began to emerge in the barter system. These problems have finally led to the breakdown of the barter system. There are four major disadvantages of the barter system.

First, the barter system does not work when there is lack of double coincidence of wants. The exchange between A and B, in our example, takes place because there is double coincidence of wants. A has rice. She needs sugar cane. B has sugarcane and B needs rice. So there is exchange between A and B. The problem will arise when B, for example, needs fish which A does not produce. Let us suppose that C produces fish but C does not want sugarcane. There is lack of double coincidence of wants.

Secondly, the barter system lacks a common unit of account. The value of each commodity has to be expressed in terms of the value of another commodity. For example, one apple is exchanged against three

guavas. Similarly for other commodities to be exchanged in the market it is impossible for the consumer to keep in mind innumerable rates of exchanges. Money economy replaces the barter economy and removes this problem. Money becomes the common unit of account. The value of each commodity in the market is expressed in terms of money. In fact, value-in-exchange is the price of the commodity.

Thirdly, the barter ceases to operate when commodities are indivisible. Can the elephant be exchanged against a piece of bread? The value of a piece of bread is low and the value of the elephant is high. But the elephant is not divisible! The money economy removes this problem of indivisibility. Money is divisible. Money can settle even a small value transaction. A thousand rupee note can be converted into five hundred rupee notes, five hundred rupee notes into hundred rupee notes and so on right down to small coins. The required amount of money is available for every transaction be it a high value or an extremely low value transaction.

Fourthly, the barter system lacks a store of value of goods and services. Value is stored up in the sense that commodities are stored up so that the stored up commodity may be exchanged against other commodities as and when such a transaction is required to take place. But the problem is that commodities are perishable. Some perish earlier (e.g, egg, fish, milk etc.) and others somewhat later (e.g, cloth, rice etc). Beyond a point of time commodities can no longer be stored up. That makes saving difficult in the barter system. Saving has to be done in the form of commodities only. In a money economy, the problem is solved. Money is durable. It can be stored up. Naturally saving will be done in the form of money. An individual may keep these savings with the banks as well. He or she may withdraw savings from the bank as and when necessary.

1.03 Evolution of Money : a brief account

Money as we know has not developed overnight. There is a certain process of evolution of money. There are five stages in the evolution of money. They are – (1) Barter System (2) Animal Standard (3) Metallic Standard (4) Coinage (5) Paper Money.

Barter system may be taken as the first stage in the evolution of money. It is true that there was no use of money in the barter system. But there was commodity money as commodities act as the medium of exchange in that system. However, the barter system broke down because of its inherent deficiencies.

In the second stage of evolution of money animals were used as money. It was the stage of animal standard. In particular goats were used as medium of exchange. However, this stage ran into two serious difficulties. First, the animal used as medium of exchange was not homogenous. Some animals were healthy, some sickly, some white, some black and so on so that it was a problem of choice for the users. It was a question of selection and rejection (eg. the white one selected and the black one rejected). Such a situation made the process of exchange hazy and uncertain. Secondly, during epidemics goats die in large numbers which would mean a sharp reduction in the supply of money, goat being money and money being goat. The monetary system would then suffer from the shortage of money. Similarly, during the breeding season, the number of goats would increase which would mean an increase in the supply of money. Over supply of money would bring down the value of money. Thirdly, indivisibility is another limitation of animal standard. Because of these problems the animal standard broke down.

The third stage in the evolution of money is the metallic standard. Gold and silver were used as money. Gold and silver, being valuable metals, were acceptable as the medium of exchange. However, metallic standard also ran into problems. First, everytime there was a transaction it was necessary to ascertain whether it was real gold and silver or fake gold and silver. Secondly, it was not considered to be safe to carry valuable metals from one place to another because of the security risk.

Thus came the fourth stage in the evolution of money. This is the stage of coinage. Gold and silver coins were minted out of the gold and silver bars. But the problem was the inelastic supply of metals. Unless there was an increase in the supply of gold and silver it was not possible to increase the number of coins. Secondly, as trade and commerce began to spread far and wide, it became inconvenient to carry large amounts of such coins from one place to another.

Because of these problems, coinage had to yield place to paper money. Paper money heralded the fifth stage in the evolution of money. Paper money again has evolved out of two stages. In stage one, paper money was convertible into gold or silver of equivalent value. It was then convertible or representative (representing gold or silver) paper money. In stage two, paper money itself came to be accepted as money. It was no longer a claim against gold or silver. This paper money is inconvertible or non-representative paper money. Today's paper money comes under this category.

It is noteworthy that cheque is being increasingly used today in the developed as well as the developing countries. But cheque is not money

as it does not have general acceptability as the medium of exchange. So also is the case with credit and debit cards.

1.04 What is money?

According to Geoffrey Crowther anything that is generally acceptable as a medium of exchange is money. General acceptability means acceptability by one and all. It is backed up by the law of the land. In other words, general acceptability has a legal basis.

1.05 Characteristics of money:

Money has a number of characteristics. These are explained below.

1. **Money must have general acceptability.** It must be acceptable as a medium of exchange. This is the most important characteristic of money.
2. **Money must have cognizability.** There should be absolutely no difficulty in identifying money. If money is not easily recognisable, transactions will naturally be problematic.
3. **Money must have durability.** Fish, egg, milk etc. can not be a money. Because these are perishable commodities. If money is perishable, money cannot be stored up. In that case, there will be no store of value. Saving will be impossible.
4. **Money must have homogeneity.** In other words, money of equivalent value must be identical in all respects. If one ten rupee note is like a ribbon in size and another is as big as the size of a register book, there will be problems of selection and rejection. The bigger one may be rejected and the smaller one accepted. Therefore, all ten rupee notes must be perfectly identical in all respects. Similarly for money of other denominations.
5. **Money must have liquidity.** Liquidity of money means direct and immediate convertibility of money into goods and services that the holder of money wants. In fact, compared to other assets, the degree of liquidity is the maximum in case of money. Land, gold, silver other assets also have liquidity but their liquidity is less than that of money as these are not directly and immediately convertible into goods and services. For example, a plot of land cannot be instantly converted into goods and services. The plot of land has to be sold out and the money earned will be used to buy goods and services. Same is the case with gold, silver and other assets. The case is different with money.

6. **Money must have transferability.** The volume of trade and commerce is expanding over time. The area of the market is being extended. It will be difficult to settle transactions, if money lacks transferability. In today's monetary and banking system it is not even necessary to physically transfer money to settle transactions. Payment may be made through adjustment of bank accounts. Credit cards and debit cards are being increasingly used to settle transactions. Core banking facilities or on-line payment may also be made to settle transactions.
7. **Money must have divisibility.** High value money may be converted into low value money. There is money to settle transactions of all values, high or low. Lack of divisibility of commodity money was another major problem of the barter system. Money can settle a transaction of 50 paise or a transaction of ₹ 50 crore.
8. **Money must have stability of value.** If the value of money continues to fall all the time, money will fail to act as the store of value. In Germany when the value of money fell sharply or the price level rose quite rapidly, people eventually refused to accept German money and a new currency had to be introduced.

It is to be noted that the characteristics of money are not substitutes for one another. Money must have all the characteristics simultaneously.

1.06 Functions of money:

Money performs four different functions. There is a couplet which runs as follows : "Money is a matter of functions four— a medium, a measure, a standard and a store."

1. **Money performs the function of a medium of exchange.** In the barter system commodities are directly exchanged against commodities; in a money economy commodities are indirectly exchanged through money. A single transaction in the barter system is splitted into two transactions in a money economy. The person producing rice will sell rice (first transaction) and the money thus earned will be used to buy cloth (second transaction). Money thus becomes the medium of exchange.
2. **Money acts as a standard of measurement of values of goods and services.** All economic goods have prices. The value in exchange expressed in terms of money is price. Money is the common unit of measurement. The value of all economic goods and services are expressed in prices only.

3. **Money acts as a standard of deferred payments.** Deferred payments are payments made later on and not at the point of time when the product or the service is delivered to the customer. It is taking commodities on credit. Accounts of all such payments are expressed in terms of money. The transactions between the creditors and debtors similarly do not involve instantaneous payments; there are cases of deferred payments. The debtor takes the loan today but repays it later on. The account of the transaction is maintained in the form of money.
4. **Money functions as the store of value.** Commodity money cannot be stored up as it does not have durability. Saving cannot be done in the form of commodity money. Durability is one of the characteristics of money. Value of goods and services may be stored up in the form of money. As and when the goods and services are needed, money can be easily converted into those goods and services. However, money will continue to act as a store of value as long as its own value does not fall rapidly. If and when the value of money falls rapidly, money may be replaced by gold or silver or land as a store of value.

The first two functions of money are known as the primary functions of money and the last two as the secondary functions of money. Apart from these four functions there are also certain contingent functions of money. For example, money transferred from the rich may be utilised for the benefit of the poor thereby reducing economic inequalities.

1.07 Types or classification or kinds of money:

In a broad sense money is of two types— money-of-account and money proper. Money-of-account is merely a concept, an abstract idea. It does not undergo a change. Money proper changes its form from time to time. What is money proper today will not remain as money proper tomorrow. Whatever is the form of money proper it will always act as money of account. Money of account is like the Office of the Prime Minister of India; money proper is like the person who happens to be the Prime Minister at any given point of time. Commodity money, animal money, metallic money and paper money were money proper at different points of time and at the same time they were also money-of-account. Independent India has seen so many personalities as Prime Ministers at different points of time but there is a common thread running through all of them – they all held the office of the Prime Minister of India!

Money proper has different types. These are :

- (1) Commodity money
- (2) Animal money
- (3) Metallic money
- (4) Paper money
- (5) Legal tender money
- (6) Non-legal tender money
- (7) Fiat money
- (8) Token money
- (9) Cheque money
- (10) Standard money
- (11) Hot money
- (12) Dear money
- (13) Easy money
- (14) Black money
- (15) High power money

(1) Commodity money : In the barter system commodity was the medium of exchange. It was both money of account and money proper. Accounts were kept in the form of commodity.

(2) Animal money : Animals were used as money, particularly goats. Goat was the medium of exchange. It was money proper as well as money of account.

(3) Metallic money : In course of time, gold and silver came to be used as the medium of exchange. It was the stage of metallic money. It was also money of account.

(4) Paper money : Paper money has replaced metallic money as it is easy to carry. Earlier on, paper money was convertible or representative paper money as it was convertible into gold or silver of equivalent value. Today's paper money, however is inconvertible or non-representative paper money as it is no longer convertible into gold or silver. It is no longer a claim against gold or silver; it is money in its own right. It is used as the medium of exchange and accounts are also maintained in the form of paper money. Thus, it is also both money of account and money proper.

(5) Legal tender money : When the general acceptability of money as a medium of exchange is supported by the law of the land it is legal tender money. Refusal to accept it as the medium will be violation of the law. Legal tender money is of two types, limited legal tender and unlimited legal tender. Limited legal tender money is money which is acceptable upto a given value of a transaction. Transactions may

be low value or high value transactions. For high value transactions it will be cumbersome to use small coins. For example, a person has sold his plot of land worth Rs. 10 lakh. If the buyer of the plot of land pays Rs. 10 lakh all in small coins, the transaction will be too cumbersome. On the other hand, unlimited legal tender money is money which can be used as a medium of exchange for transactions of any value— Rs. 10 lakh, Rs. 10 crore, Rs. 100 crore and so on. Whether limited or unlimited, legal tender money is both money proper and money of account.

(6) Non-legal tender money : When the general acceptability of money as a medium of exchange has no legal support it becomes non-legal tender money. Refusal to accept this money will not mean any violation of the law of the land. (for example, cheque money).

(7) Fiat money : Fiat means the authority or the power of the state. Money supported by the fiat of the state is fiat money. Like all other types of money it is money proper and also money of account.

(8) Token money : When the face value or written value or embossed value of money is higher than its intrinsic or metallic value, it becomes token money. For example, take a hundred rupee note. The word hundred is written on that currency. That is the face value. The currency is made of paper. The value of the paper used is much less than the written value. It is token money. Similarly, take a five rupee coin. The word five is embossed on the coin. But the value of the metal out of which the coin has been made is much less. It's also an example of token money. The money that we are using today are all examples of token money.

(9) Cheque money : A cheque is not legal tender money. An individual may refuse to accept payment in cheque. There is no violation of the law of the land. A cheque is a claim against money. A cheque is encashed at the counter of the bank. Although cheque is not money yet the fact remains that cheque is being increasingly used as a means of payment not only in



Token Money

the developed but also in the developing countries.

(10) Standard money :

Standard money is a unit of money. The value of other units of money are related to it. In India, the Rupee is the standard money. One paise is a unit and it is one percent of 100 paise.

(11) Hot money : Money

that goes out of the country in the face of socio-economic disorder and uncertainty in the country is hot money. It is affected by speculation. It is money on the wings. It is also known as nervous money.

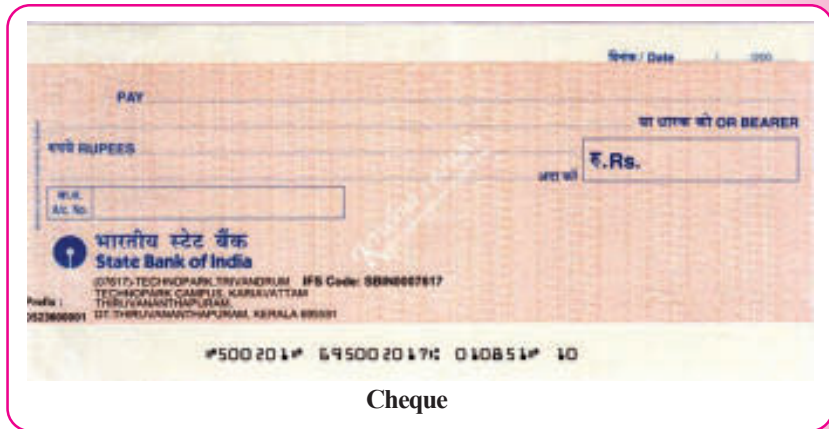
(12) Dear money : Dear money results from central banking action.

When for example, India's Central Bank, the Reserve Bank of India (RBI) raises its rate of interest the member banks will borrow less from the RBI. In their turn, the member banks will raise their rates of interest as a result of which the borrowers will borrow less from the member banks. Money thus becomes dearer. It is the dear money policy.

(13) Easy or cheap money : When the Central Bank reduces the interest rate the member banks borrow more from the Central Bank and lend more to their borrowers. Money thus becomes cheaper. It is cheap money policy.

(14) Black money : Black money is not a distinct type of money. Any money can become black money when it is generated through economic offence. For example, tax evasion is an economic offence. Let us suppose that after all deductions and rebates from his gross annual income an individual has to pay income tax of ₹ 5 lakh (taxable income). But, the individual manipulates his tax statement in such a way that his taxable income is shown as 1 lakh. Therefore, the amount of money which should have gone to the Government Treasury, (i.e. ₹ 5-1) 4 lakhs, stays with the individual. This amount of money is black money or unaccounted money. It is the product of an economic offence.

(15) High power money : Out of the total money supply in the country that part which is under the direct control of the country's Central Bank is high-power money. By means of this money the Central Bank can increase or decrease the money supply in the country.



1.08 Role of Money:

1. Money makes exchange easier. It has removed the difficulties of the barter system.
2. The price system is an important characteristic of a market centered or even a market friendly economy. The price system is dependent on the supply of money. [A market centred economy is one where the demand and supply forces determine the output and the price of commodities and services.]
3. Even in a system where the administrative decisions of the government determine the price and output of commodities and services, and not their demand and supply, the value of output in that system is expressed in terms of money. Without money, no economic system can operate.

1.09 Drawbacks of money:

1. When money lacks stability of value, quite a number of problems will arise in the economy. For example, when the value of money continues to fall (or which is the same thing as saying that the price level continues to rise) the consumers will have to spend more money to buy the same amount of goods and services from the market. People whose income is limited and fixed suffer the most under such circumstances. Similarly, when the value of money continues to rise (the price level continues to fall), the producers face losses because of which they may decide to cut down the level of production. As and when that happens, employment opportunities will also shrink.
2. Money may be used as one of the instruments to facilitate the concentration of economic power and wealth. In an economy where money is everything money can easily become a means to acquire economic power.
3. Weakness for money may well be the cause of the erosion of the social value system. Corruption, irregularities, injustice of all types are the end results of degrading values.
4. When money takes the form of black money, the economy suffers in many different ways. For instance, the government loses considerable amount of revenue due to large scale tax evasion.

1.10 What is a bank?

Bank is a financial institution that deals in loans. Bank collects the

savings from savers and offers these savings, barring a small part, to the borrowers. Farmers, industrialists, consumers, students and many other sections of people borrow from the bank. Such a business brings profit to the bank. Those who borrow from the bank have to return the principal to the bank alongwith a rate of interest. This rate of interest collected by the bank is higher than the rate of interest paid by the bank to the savers. The difference is the profit earned by the bank.

1.11 Origin of banking:

According to Geoffrey Crowther, the monetary economist, the businessmen, the gold merchants and the money lenders are the ancestors of banks. In the Middle Ages, when the Bank of Venice was set up in Italy, the word bank, began to gain wide publicity. As there was constant warfare among the city states in Italy the states were in need of finance. To mobilise resources the states appointed commissioners. These commissioners were known as Monte. During those days large areas in Italy were under the Germans. The Germans used the term 'Banck' in place of Monte. In Italy, this word was banco; in France, banke and in England, bank. The **Bank of Hindustan** the first bank in India was set up in 1770. The first bank in Assam that was set up entirely on local capital mobilisation was the **Gauhati Bank**. This bank was set up in 1926.

1.12 Classification or Kinds and Functions of Banks:

There are different types of banks. Among these, at this stage we discuss the functions of six banks. These are—

(i) The Central Bank, (ii) The Commercial Bank, (iii) Regional Rural Banks (RRB), (iv) Industrial Development Bank of India (IDBI), (v) Small Industries Development Bank of India (SIDBI) and (vi) National Bank for Agriculture and Rural Development (NABARD). Besides these banks there are many other banks like Asian Development Bank, the World Bank and on. At this stage it is not necessary to go into all these banks.

1. The functions of Central Bank :

The Central Bank is the head of all the banks in a country. All the banks are to operate as per instructions issued by the Central Bank. The Riksbank of Sweden is the world's oldest Central Bank. This bank was set up in 1656. India's Central Bank is the Reserve Bank of India. This bank was set up in 1935. The Central Bank performs a number of functions.



The Headquater of RBI, Mumbai



RBI Office at Guwahati

These are as follows—

- (i) **The Central bank issues currency.** This is the monopoly right of the central bank as no other bank in the country enjoys this right.
- (ii) **The Central bank controls the volume of credit.** Credit money constitutes a big chunk of total money supply. The quantity of credit money depends on the lending capacity of the commercial banks. The Central bank adopts credit control measures to regulate the lending capacity of the commercial banks.
- (iii) **The Central bank is the bankers bank.** The Central bank examines the account of all the member banks. The Central bank is also the friend in need to all other banks. Whenever the banks are in a financial crisis, it is the Central bank that comes to their help.
- (iv) **The Central bank is the financier, advisor and agent to the government.** The Central bank is the financier to the government. The government faces a budgetary deficit when the aggregate expenditure shown in the budget exceeds the aggregate revenue to be earned by the government. This deficit is removed when the Central bank prints new money and makes it available to the central

government. (Deficits in state budget is not removed in this manner). The Central bank is the adviser to the government. The bank offers its own suggestions to the government to make the income policy, tax policy, trade policy and the like more effective and realistic. The Central bank is also the agent to the government. It maintains the accounts of income and expenditure of the government.

- (v) **The Central bank is the custodian of the foreign exchange reserves of the country.** Foreign exchange may flow into the country in many different ways like export earnings, foreign investment and so on. The Central bank fixes the official rate of exchange. Rate of exchange is the rate at which the currency of a country is exchanged against the currency of another country. In a free enterprise economy where the state central over the economy is the minimum, the rate of exchange is basically determined by the market forces of demand for and supply of foreign currency.
- (vi) **The Central bank functions as the clearing house of the member banks.** There is inter-bank lending and borrowing. The Central bank maintains the accounts of all member banks. All transactions between the lending and borrowing banks are cleared at the Central banking level.
- (vii) **The Central bank has a promotional role to play.** It promotes socio-economic development as it releases funds to the priority sectors in the economy (like agriculture in India). At present, priority sector lending in India has been fixed at 40 per cent of the total deposits of the banks.
- (viii) **There are miscellaneous functions which are performed by the Central bank.** The bank reviews the economic situation of the country from time to time. It supplies loans to the cooperative bank and other banks. It operates a welfare fund for educational and social purposes and so on.

2. The functions of Commercial Banks :

The banks which provide service to the public directly or indirectly by conducting activities related to savings, credit, trade etc., under the direction of Central Bank, are generally called Commercial Banks. Presently the areas of activities of these banks are increasing day by day. The functions of commercial banks are discussed below:

- (i) **The commercial bank mobilises savings.** Savings are of three types : (a) current savings or deposit, (b) fixed savings or time deposit

and (c) savings deposit. Current savings or deposit may be withdrawn by the saver or depositor at any time. Fixed or time deposits cannot be withdrawn like current deposits; the depositor has to give prior intimation to the bank before he or she withdraws the savings. In case of savings deposit a part can be withdrawn as and when necessary but the other part can be withdrawn only with the banks permission.

In India, according to Census 2001, only 36 per cent of India's total population had bank accounts. In 2011, it increased to 59 per cent. By 2014 (August) 210.5 million Indians had bank accounts. The number is still rising.

- (ii) The commercial bank offers loans. Farmers, artisans, industrialists, thelawallahs, rickshawpullers and others receive loans.

The proper utilisation of bank loans improves the economic status of the people.

Generally, the commercial bank does not offer long term loans. Long term loans mean that the bank has to part with savings for a longer period of time. This may create a problem for the bank. The bank will not be in a position to release the savings to the depositor when he or she comes to withdraw money. People may lose confidence in the bank. Ultimately, the bank may even fail or go bankrupt.

- (iii) The commercial banks as a whole can create credit money. On the basis of the primary or passive deposits the banks can create derivative or active deposits. The savings deposited with the bank by a saver is the primary or passive deposit. It is passive because it is the saver who takes the first step, the bank is passive. On the contrary, derivative

or active deposits are created by the commercial banks. A part of the primary or passive deposits is retained by the bank. The banks offer the other part as loans to different sections of people in the society. The proces of credit creation starts as soon as the banks begin to offer loans.

Let us take an example. Let us suppose that A, the depositor deposits ₹ 1000 with the bank. This will be the primary or passive deposit. Let us assume that 20 per cent of this amount is kept by the bank



Bank's Counter

and the rest is offered as loan. The amount of the loan, therefore, will be ₹ 800. The bank keeps 20 per cent to enable it to meet the demands of the customer at any point of time. The bank cannot offer the entire ₹ 1000 as loan. Now, let us suppose that the individual who has taken the loan of ₹ 800 from the bank pays the money to another individual who deposits the money with another bank. The second bank similarly keeps 20 per cent of ₹ 800 with itself and offers the rest i.e., ₹ 640 as loan. For the second bank ₹ 800 will be the primary or passive deposit and ₹ 640 will be the derivative or active deposit. Now, ₹ 640 is put into the third bank (primary or passive deposits) out of which 20 per cent is retained by this bank and the rest is offered as loan (derivative or active deposit). And so on. At the end of this process the total amount of deposits will be ₹ 1000 + ₹ 800 + ₹ 640 + ₹ 512 + 0 = ₹ 5000. Thus, on the basis of the primary or passive deposit of ₹ 1000 initially the commercial banks have created ₹ 5000. This is five times of the original amount. This is the process of creation of credit by the commercial banks.

- (iv) The commercial banks also perform certain miscellaneous functions. Valuable ornaments, important documents etc. may be kept in the lockers of the bank for safe custody. Some of the banks also function as the trustee of the property of the customer or depositor.

3. The Industrial Development Bank of India (IDBI) :

The IDBI was set up in the year 1964. This bank has two primary functions (a) to offer financial assistance to the industries and (b) to develop the institutions that are related to industrial development of the country. The bank offers direct loan to the various industries. It also offers indirect loan for industrial development. For example, the IDBI gives financial assistance to the State Financial Corporation, Industrial Development Corporation, the commercial banks and such other institutions and, in their turn, these institutions offer loan to the various industries. Thus the loan from the IDBI does not come directly to the industries but through these institutions.

Another important function of the IDBI is to offer industrial loans at concessional rate of interest to industries in the backward regions of the country.

Yet another function of the IDBI is to take the initiative in creating entrepreneurship through various training programmes.

4. Regional Rural Banks (RRBs) :

Five RRBs were set up for the first time in 1975. These banks perform two main functions : (i) to provide loans at low rate of interest to the villagers and liberate them from the clutches of the private money lenders who charge extremely high rate of interest and (2) to mobilise rural savings and invest these in various productive activities. In 2014, the number of RRBs in India was 57.

5. National Bank for Agriculture and Rural Development (NABARD):

NABARD was established in the year 1982. The functions performed by the Reserve Bank of India in the field of rural credit have all been transferred to NABARD. The main functions of NABARD are:

(i) NABARD is the apex financial institution among all the institutions related to investment and production in the rural areas;

(ii) NABARD streamlines the process of offering loans, monitors and evaluates the progress of various rural schemes and organises training programmes for the beneficiaries;

(iii) NABARD coordinates the various schemes for rural development initiated by the central government, the state governments, the Reserve Bank of India and so on.



The Headquarter of NABARD in Mumbai

6. Small Industries Development Bank of India (SIDBI) :

The Bill to set up SIDBI was passed in 1989 and SIDBI started its operations from 1990. The Headquarter of SIDBI is at Lucknow. The main functions of SIDBI are :

(i) to promote modernisation and application of improved technology in small industries;

(ii) to create markets for the products of the small industries;

(iii) to create more employment opportunities in the small industries in semi-urban areas and check the migration of population from these areas to the towns and cities and

(iv) to offer financial assistance to the State Financial Corporation, Industrial Corporation, commercial banks, cooperative banks and regional rural banks so as to enable these institutions to offer loans to the small industries.



SIDBI

1.13. Non Banking Financial Institutions (NBFI)s:

Like the banks NBFIs also collect savings from the savers and advances these savings as loans to various people. But there are two main differences between the banks and the NBFIs. First, the depositors can withdraw money from the banks through cheque; NBFIs depositors cannot do that. Secondly, in case of banks there is the Deposit Insurance Scheme to cover the risk of the depositors; NBFIs do not have such schemes.

NBFIs are required to be registered with the Reserve Bank of India. Many NBFIs not registered with the RBI cheat the depositors as they suddenly vanish leaving no trace of their existence.

S U M M A R Y

The story of evolution of money is interesting. Any commodity or substance cannot be money. Money must have certain characteristics. Because of these characteristics money can perform certain functions. There are different types of money. Money plays an important role in the economic system. Money has removed the inconveniences of the barter system. Of course, money also has its own problems. The banking system creates money. The Central bank is the head of all the banks. Reserve Bank of India is the central bank of India. There are different types of banks, each with specific functions. There are certain financial institutions outside the banking system of the country. These are known as the Non Banking Financial Institutions or Intermediaries. There are differences between banks and NBFIs.

EXERCISE

Very short answer type questions :

1. What is barter?
2. What is money?
3. Mention one important function of money.
4. Give an example of non-legal tender money
5. What is representative paper money?
6. What is a bank?
7. In which year was the Reserve Bank of India set up?
8. What is current deposit?

Short answer type questions :

1. How does the lack of double coincidence of wants create problems in the barter system?
2. What is meant by store of value?
3. Which characteristic of money is the most important one and why?
4. What is liquidity of money?
5. 'Money is the common unit of measurement of the value of goods and services.' Explain.
6. What is the difference between limited and unlimited legal tender?
7. What are the functions of the Regional Rural Banks?
8. How are the Non Banking Financial Institutions different from the banks?

Long answer type questions :

1. Explain four demerits of the barter system.
2. Explain any four characteristics of money.
3. Explain four major functions of money.
4. Is cheque money? Give reasons for your answer.
5. Mention four problems associated with money.
6. Explain any four functions of the Central Bank.
7. Explain any two major functions of the commercial banks.
8. Briefly explain any two functions of each of the following :
(i) IDBI, (ii) RRBs, (iii) NABARD, (iv) SIDBI



CHAPTER-2

ECONOMIC DEVELOPMENT

KEY POINTS

- Economic Growth and Development
- Human Development
- Economic and Democratic Planning
- Economic Planning in India and its Characteristics
- Liberalisation, Privatisation and Globalisation
- Current Five Year Plan of Assam

'Countries may have a high HDI and be undemocratic, unequitable and unsustainable– just as they may have a low HDI and be relatively democratic, equitable and sustainable.'
–**Human Development Report, 2010**

HDI : Human
Development
Index

2.01 Economic growth:

Economic growth is to be distinguished from economic development and human development. Economic growth is basically a quantitative concept. It relates to growth in output and, in particular, growth in per capita income. Per capita income is equal to national income divided by total population of the country. This gives us income per head. Till the mid sixties per capita income was taken as the basis for the distinction between developed and underdeveloped countries. The world Bank observed that countries above per capita income of \$ 750 were developed

countries and countries with per capita income below that figure were underdeveloped countries.

2.02 Economic development:

Economic development is basically a qualitative concept. It includes the quantitative concept i.e., economic growth and also changes in areas or sectors which are economically and socially significant. Economic growth is a narrow concept; economic development is a broader concept. There may be economic growth without economic development. But, there cannot be economic development without economic growth. The concept of economic development has come to the limelight after the mid sixties. Economic development also takes into account the growth of per capita income. But it goes much beyond that. Economic development also looks into how increased income is being distributed so as to avoid concentration of income in the hands of the few. Again, mere rise in output cannot be equaled with economic growth. The composition of output must also be examined. It is quite possible that the output of luxury goods and intoxicants (wine, drugs etc) has gone up and the output of essentials is limited. In that case total output will rise but the level of welfare of the people will not. Moreover, the growth of output and per capita income may be at the cost of the environment. While trying to boost output, the producers may use natural resources in a most haphazard and unplanned manner. Such utilisation of natural resources will raise output at present but the future generation will have to face environmental problems (pollution, emission of green house gases etc). It will not be sustainable development. Economic development is also about other institutional changes. Education, health, banking, land tenure and so on also undergo changes over time. Economic growth is not about such changes. These are covered by economic development.

2.03 Human development:

The first Human Development Report was published in 1990. It is an annual publication of the United Nations Development Programme (UNDP). There are three indicators of human development (i) Life expectancy, (ii) Literacy and (iii) Standard of living, basically accessibility to pure drinking water and sanitation.

Life expectancy is the number of years that a child is expected to survive at the time of birth. The average of life expectancy is then worked out. In the developed countries, life expectancy is higher as the public

health services are better. In the underdeveloped countries the life expectancy is low as the public health services are rather poor. The level of literacy include adult literacy and the gross enrolment ratio of primary and secondary education and other branches.

In reality, human development means the expansion of collective choice of the people. The three indicators mentioned above influence collective choice. The choices of the people constitute the core of human development; the technical formula or the concepts are but of secondary importance. The concept of economic growth represents only one choice, the level of income. Human development, on the other hand, covers economic, social, cultural and political choices of the people. The focus of human development is on enrichment of the lives of the people; it is not merely the rise in the amount of output produced in the country.

The Human Development Report 2010 has introduced three new concepts of human development. These are (a) the inequality adjusted Human Development Index, (b) gender inequality index and (c) multidimensional poverty index. The first concept seeks to determine how human development has influenced different classes of people in the society. The second concept is about the inequalities between male and female. The third concept highlights the different forms of poverty.

2.04 Economic Planning:

Economic planning is an instrument to attain a set of well defined objectives within a definite time period as determined by a central planning agency. In India, the plan is formulated for a period of five years. In general, the main objectives of planning in India are to raise the rate of growth of the economy, to remove socio-economic inequalities, to remove poverty, to expand employment opportunities, to remove regional inequalities, to ensure sustainable economic development without causing damage to the environment and so on.

Right from the First Five Year Plan down to the Twelfth Five Year Plan, the Planning Commission of India formulated the objectives, prepared the strategy of investment, explored the ways of mobilisation of resources and evaluate and monitor the progress of the various schemes and the projects covered by the plan.

The following table shows the period covered by various Five Year Plans between 1951 and 2017.

HDI : Human Development Index
Presently, the overall development of a country is indicated by the term Human Development Index (HDI). HDI is the combined statistic, derived from three indices—life expectancy, education and per capita income. These indices signify the standard of living based on four pillars of human development, i.e. Economic, Social, Cultural and Political development.

Table 2.1 : Five Year Plans of India (1951-2017)

Plan	Period
First	April, 1951– March 31, 1956
Second	April, 1956 – March 31, 1961
Third	April, 1961 – March 31, 1966
Annual plans (3)	April, 1966 – March 31, 1969
Fourth	April, 1969 – March 31, 1974
Fifth	April, 1974 – March 31, 1978
Annual Plans (2)	April, 1978 – March 31, 1980
Sixth	April, 1980 – March 31, 1985
Seventh	April, 1985 – March 31, 1990
Annual Plans (2)	April, 1990 – March 31, 1992
Eighth	April, 1992 – March 31, 1997
Ninth	April, 1997 – March 31, 2002
Tenth	April, 2002 – March 31, 2007
Eleventh	April, 2007 – March 31, 2012
Twelfth	April, 2012 – March 31, 2017

Structure of NITI Aayog Committee–**Chairman :** Prime Minister.**Vice-Chairman :** Appointed by Prime Minister.**Full time members :** Three experts.**Part-time members :** Two numbers.**Ex Officio members :** Maximum four Cabinet Ministers.**Chief Executive Officer :** One IAS officer.**Executive Council :** All Chief Ministers and Lt. Governor of Union Territories.

2.05 NITI Aayog:

NITI Aayog has replaced the Planning Commission of India. NITI stands for the National Institution for Transforming India. NITI Aayog has come into operation from January 1, 2015. The first meet of NITI Aayog was held on February 8, 2015 in Delhi. The Chariman of NITI Aayog is the Prime Minister of India. The other members of NITI Aayog are the Vice-Chairman, Chief Ministers of states, Lieutenant Governors of Union Territories, four Central Ministers, Chief Executive Officer and the experts from different fields.

2.06 Democratic Planning:

Planning in India is democratic planning. In democratic planning the people participate in the different stages of plan making. The decisions are not imposed from the top. Democratic planning ensures decentralisation of power. There are three layers of administration in India central government, state governments and local bodies (Panchayats, Municipalities etc). At each level, the plan schemes are discussed by the representatives of the people. As the representatives of the people formulate and discuss schemes at the lowest level of administration (local bodies), it is known as grassroot planning.

2.07 Economic Planning in India:

Economic planning in India has covered a period of more than sixty years. The period of planning is divided into two parts from 1951-52 to 1990-91 and from 1991-92 to the present day.

In the first period of planning (1951-52 to 1990-91), the public sector was the leading sector in the economy. The role of the private sector was secondary. In Indian economy, the public sector and the private sector coexist. Hence, it is known as Mixed Economy. Between the two sectors, public and private, the public sector's role was more important because the industrial policy accepted the goal of the socialistic pattern of society. Naturally the role of the state in economic development become important.

In the first period or phase at economic planning in India, the major objectives of planning were : (1) to raise the rate of economic growth, (2) to give importance to the application of modern technology, (3) to attain self-reliance and (4) to secure social justice.

However, during this period the rate of growth of the Indian economy was not satisfactory. Some of the factors responsible for such a growth rate were the Chinese aggression (1961-62), the Indo-Pak conflict (1965), poor rainfall and rapid political changes in India. During this period, the average rate of growth of the Indian economy was just 3.5 per cent. The remarkable feature was the growing contribution of the services sector (banking, insurance, transport, business etc) to India's national income. From 28 per cent in 1950-51, this contribution increased to 40.5 per cent in 1990-91. The growth of the services sector implied that the dependence of the Indian economy on agriculture declined. The contribution of agriculture (primary sector) to India's national income declined from 59 per cent to 34.9 per cent. India witnessed the green revolution in the mid sixties. Green revolution implies the increase in agricultural output brought about by the application of modern technology to agriculture. However, the green revolution was limited to a few states in India (Punjab, Haryana in particular) and also to a few crops (paddy and wheat).

The second phase of planning in India covers the period 1991-92 to the present day. In this period, the importance of liberalisation, privatisation and globalisation has increased and the importance of the public sector, to that extent, has declined. There are three important factors which have brought such a significant change in the Indian economy. First, the aggregate public expenditure exceeded the aggregate public revenue which resulted in a huge fiscal deficit. The amount of

public expenditure in the public sector was rising over the years but the vast majority of public sector undertakings incurred heavy losses and hence, the returns to public expenditure were low. In 1990 (March) out of 244 public sector units 58 were sick units. Many others were loss-making units. Secondly, the high rate of inflation had unfavourable impact on the Indian economy. Socially and economically backward people with limited income were badly hit by the price rise. Third, India's balance of payments position was highly disturbing. The inflow of funds into India was on the decline. On the contrary, there was an outflow of capital from India. Consequently, the foreign trade deficit was rising alarmingly. In such a situation the world Bank recommended structural changes in the Indian economy. Against the unfavourable background of the Indian economy the Narasimha Rao government at the centre decided to introduce the economic reform measures in India. These measures have encouraged the process of liberalisation, privatisation and globalisation in India.

It will not be fair to say that the economic reform measures introduced in India have not brought any benefit to the people of India. First, there has been a rise in the rate of growth of the economy. The annual rate of growth in 2005-06, 2006-07 and 2007-08 was 9.5 per cent, 9.7 per cent and 9.2 per cent respectively which was much higher than the growth rate achieved earlier. During the period 2009-10 to 2012-13, the average rate of growth of the Indian economy was 6.7 per cent. The latest Economic Survey has put it at 7.2 per cent for the year 2013-14. Secondly, the wholesale price index has shown a downward trend. However, the retail prices have not registered the same trend. Thirdly, the foreign currency reserves with the Reserve Bank of India have increased considerably. This amount was \$328.7 billion (1 billion = 100 crore or 1000 million) in 2015 (march). This reserve can finance seven months of import into India. In 1990-91, the amount of foreign exchange reserve was so small that it could cover only 15 days of import.

Certain problems are also associated with the economic reform measures introduced in India. First, both the extent and the intensity of competition have increased which is otherwise a welcome development. But unless more purchasing power comes to the hands of the common man, the benefits of economic reform will be limited. Secondly, excessive consumerism may lead to the erosion of social values where money power will be all pervading. Thirdly, the management of globalisation has assumed importance.

Globalisation must not come into clash with the furtherance of the national interest. Fourthly, good governance will be of crucial importance

in delivering the benefits of economic reforms particularly to the weaker sections of people in the society. In the meanwhile, there has been a welcome move to increase bank accounts in the country. Such a move will ensure financial inclusion. Benefits of economic growth and development should go to each and every section of people in the society. The accessibility to banking services is, therefore, highly desirable.

2.08 Liberalisation:

Economic liberalisation means lessening of the degree of state control in the economic system of a country. Prior to 1991 the government used to play a predominant role in the sectors like industry, finances, foreign exchange dealings, trade, investment and the like. The permit and licence policy of the government was the main instrument of the government control in the economy. As a part of the economic reform measures government control has been lifted in a large number of industries except liquor, cigarette, hazardous chemicals, industrial explosives, electrical equipment, drugs and so on. Defence, atomic power generation and rail transport are reserved for the public sector.

The financial sector is composed of commercial banks, investment bank, share market and the foreign exchange market. In the liberalised Indian economy the foreign banks have been allowed to enter into India's banking sector.

2.09 Privatisation:

Privatisation is opening up of the sector units to the private sector. The Industrial Policy, Government of India, 1991 has opened up 9 public sector units to the private sector. One form of privatisation is disinvestment. Disinvestment means the sale of the shares of the public sector units to private parties. Thus, the entire amount of capital that is necessary for the public sector unit is not supplied by the government, a part of that is contributed by the private individuals (shareholders).

2.10 Globalisation:

Globalisation means the integration of the economy of a nation with the economies of the rest of the world. In a sense, globalisation is the result of privatisation and liberalisation of the economy. A country that avoids integration with the world economy is an inward looking country. Its economic isolationism is known as autarky. Globalisation reduces the distance among the countries of the world. The use of information technology and the internet have speeded up the process of globalisation. The countries

of the world are moving towards a borderless world. Globalisation creates a competitive environment in which both the consumers and producers tend to gain.

It is important to ensure that globalisation does not pose any threat to national interest. A globalisation economy must not mean the sacrifice of its economic sovereignty, language, literature and culture. It should be possible to reap the benefits of globalisation without sacrificing the national interest.

2.11 Current Five Year Plan of Assam (2012-2017):

The entire process of plan making in India has undergone a significant change; the planning commission has been replaced by the NITI Aayog. This transformation has taken place right in the middle of the Twelfth Plan. The objectives of Assam's Twelfth Plan are :

1. to raise the rate of growth of the Assam economy to 10 per cent in the next two to three decades in order to remove the gap between Assam economy and the economy of the development states in India;
2. to adopt various schemes for poverty removal;
3. to tackle the problem of flood and erosion with the latest technology and scientific management;
4. to raise the annual rate of growth of agriculture from 6 per cent to 8 per cent;
5. to achieve self-sufficiency in power generation and to apply modern technology in power supply and distribution;
6. to raise the value of Assam's human development index and accordingly increase the amount of investment in health and education;
7. to lay emphasis on skill formation in order to expand opportunities for selfemployment and promote the growth of micro, small and medium industries including the traditional cottage industries;
8. to preserve bio-diversity and to tackle the problem of climate change and
9. to take up measures to ensure good governance in the state and the local bodies (Panchayats, Municipalities and so on).

The plan has accorded priority to rural development which will include the development of agriculture and allied activities, the small and medium industries and the cottage industries. It is hoped that such a strategy will help reduce the gap between the urban and rural areas of Assam.

S U M M A R Y

- ☛ Economic growth, economic development and human development do not mean one and the same thing; these concepts are different from one another. The first Human Development Report was published in 1990. India has chosen democratic planning to promote economic well being. In the first phase of planning in India covering the period 1951-52 to 1990-91, the public sector was the leading sector. In the second phase of planning from 1991-92 to the present day the importance of liberalisation, privatisation and globalisation has increased. Planning Commission of India has been replaced by NITI Aayog. Assam's Twelfth Five Year Plan is being guided by a set of important objectives.

E X E R C I S E

Very short answer type questions :

Answer in one sentence –

1. Economic growth
2. Economic development
3. Human development
4. Economic planning
5. Democratic planning
6. Liberalisation
7. Privatisation
8. Globalisation

Short answer type questions :

1. Mention two important points of difference between economic growth and economic development.
2. What are the three indices of human development?
3. What is meant by extension of collective choice?
4. Mention four important objectives of India's Five Year Plans.
5. Who are the members of NITI Aayog?
6. Explain one of the main points of difference between the first phase of planning in India (1951-52 to 1990-91) and the second phase (1991-92 to the present day).
7. Briefly explain the three main causes of the introduction of economic reform measures in India.
8. Mention three benefits of economic reforms in India.
9. Briefly explain two problems of economic reforms in India.
10. Mention five important objectives of Assam's Twelfth Five Year Plan.

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OUR RIGHTS :

“If you wish to be successful in life, do not misuse time. Because time shapes a life You will succeed in life only if you learn to utilise time properly. Tomorrow is Children's Day', that is, your day. You should not spend the day only having fun, As children, do you know what are yours various rights? Likewise, you also have certain responsibilities towards the society and the country.” The children did not have any idea about all this and naturally, they became curious. I will now collectively explain about your rights. The students of the junior classes may not understand so, the senior students will help them.”

"The UNO had adopted the "Children's Rights" in 1959. In 1974 India implemented the "National Policy for Children" and on 11 December 1992 adopted the "Children Rights Law". It is the primary duty of every guardian and citizen to work for the physical, mental and intellectual nourishment as well as development of every child below 18 years of age. The state governments will ensure the protection of the Rights of the Child. As such, Your first Right is Respect and expression. Like all other citizens, children too have the Right to be respected. Children also have the Right to know that the constitution has given them certain Rights. And that is the reason that today, I am informing you about your Rights. Who is a particular child, where does he or she live, what does the parents do, What language does he/she speak, what religion does he/she follow, whether a boy or girl, what culture does he/she belong to, how refined is the child, is he/she differently abled, is he/she from a rich or poor family none of these matter. Every child must be treated equally. A child has the right to express its feelings and the adults have the responsibility to listen to their opinion with due respect and importance. Every child has the Right to ask any question in a classroom. Every child has the Right to proper education it is the duty of every citizen to encourage children to go to school. Every child has the Right to good health and must have access to all facilities for the same. And this the responsibility of the adults. Every child must get nutritious food, enough time for games and sports and time for proper rest. These are Rights of a child. Moreover, every child has a Right to live in a pollution free environment and adults have no right to pollute the environment. No child will be sexually-harassed neither in school by teacher nor at home by family members or relations. Ensuring that is the responsibility of the adults children

have the right to love and affection from everyone. Likewise no adult can exploit any child economically, sexually or physically. They cannot force any child to work against its wishes. No girl child can be married before 18 years of age, and the person who tries to get her married as well as the person who marry's her are both criminal.

All the students were overwhelmed. They too, had an important place in the society. That is why, they often hear in various places,- "Today's children, tomorrow's future of the country". Sarma Sir continued, "These are the Rights which our Constitution has given to children that is you. And to ensure that you get to enjoy these Rights is your responsibility as well as that of the adults. We elect our representatives to the Parliament, to form the Lok Sabha and the Rajya Sabha so that the citizen's rights are protected and the development of our state and country is ensured through good governance. Would you like to ensure the protection of your Rights through the formation of a students' union in the school on the model of the parliament?"

Sarma Sir looked at the students and the students looked at each other. Some lowered their heads. Sarma Sir smiled and said, "A few minutes earlier I informed you that every child has the Right to express oneself and the adults have the responsibility to consider that opinion with importance. Every child has the Right to ask any question in the class and yet, now you hesitate to voice your opinion. You are yourself forgoing your Rights." Prerona, a student of class X stood up and said, " Sir, just like the elders cast their votes, we want to elect our representatives in our school. We want to learn that process."

"That's really good. We are the citizens of the largest democratic republic in the world, India. We should know about the democratic process right from our childhood. I will inform the Head Master about your opinion and request him to take the necessary steps. Now celebrate Children's Day, show your talents," Sarma Sir said. The students were euphoric by what Sarma Sir said.

OUR RESPONSIBILITIES

The entire school is agog with excitement today. After many years, due to the initiative of Sarma Sir, the school students Unions Body, on the model of the state legislature, has been formed today. To make the students understand how the election process is conducted in India, the largest democracy in the world, Sarma Sir had made an EVM (Electronic Voting Machine). To conduct the election smoothly, a list of rules and regulations was also brought out. As per the rules portfolios of the School Union Body like Chief Minister, Cultural Minister, Law Minister, Forests Minister, Transport Minister, Health Minister, Education Minister etc. were elected by the students of the School. Today, the candidates who were victorious in the election will take oath in front of everyone. The students were very happy that they could take part in the election process.

At the scheduled time, all the victorious candidates lined up on the Verandah and as taught by Sarma sir, took oath to perform their duties and responsibilities.

Thereafter Sarma Sir addressed everyone- "You created the Students Union

Body. Some students have been given ministerial posts also. But does our responsibilities end here? Do you know the duties of the various Ministers of the students Union?"

Along with the other students, the newly elected students also looked at each other. Sarma Sir continued, "It is not enough that you only gain bookish knowledge by coming to school. Through education you must develop a scientific outlook to erase superstitions and uncultured disposition, acquire intellectual values like environment consciousness, democratic consciousness, Universal brotherhood etc. Like the way you voted to form the school students Union, in the same way we cast our votes to elect our representatives to run the country smoothly. In fact the voting process is a democratic system of expressing our opinion. Through this democratic system our elected representatives administer the country according to the Indian constitution. Ok, have you studied the preamble of our constitution?"

The students looked at each other. It was obvious from their faces that they did not know the preamble. Sarma Sir said, "That you did not know is not important, but it is very essential that you have a general idea about the constitution. We unanimously decided to establish our country as the largest Socialist, Secular, Democratic Republic and these are the preamble or introduction of our constitution. For the welfare of our country and its people we will take decisions ourselves. At the same time we will have cordial relations with other countries of the world in matters of trade, education, cultural exchange etc. The objective of anything we plan to do, should be the benefit of others. Every citizen of our country has the Right to good-health, good food, good education and the Right to all facilities equally, without any division.

In our country all religion, all religious principles and philosophy are shown respect. That is why our country is said to be 'Secular'. Imagine your school as a mini model/edition of the country. You chose your representatives through the democratic process. From this condition you will have to gather a healthy democratic consciousness. Just as our Constitution has given every citizen certain rights. in the same way it has determined certain duties and responsibilities towards the country for us as well. It was on 26th November 1949 that the Parliamentary Assembly of India had accepted the draft of our Constitution which had been composed by the committee formed with Dr. B.R. Ambedkar as the leader. After thorough scrutiny of the draft, all members of Parliament signed their consent, that it would be passed, on 24th January 1950. Accordingly, from 26th January 1950 our country was executed as a Socialist Secular Democratic Republic. Thus, every year we celebrate 26th January as Republic Day.

The students faces were brighten with joy. 26 January was celebrated as Republic Day by the government with great pomp and gaiety in the Govt. field. The N.C.C cadets of the school also took part in the parade. But many did not even know why this day was celebrated. Sarma Sir continued- In the "Directive Principles section of the Constitution, the duties of the citizens has been

incorporated. Foremost duty and responsibility is to respect our constitution, our National Flag and our National Anthem. Secondly, we must never ever forget the pious principles on which our freedom struggle was fought, and the invaluable, sacrifices of the freedom fighters. We must always be prepared for safe-guarding the unity, indivisibility and presenting of our nation. Irrespective of different caste creed and religion we must keep alive the brother hood and harmony among each and every Indian and at all times keep away from all activities that disrespect Women. We must work for the preservation of our cultural heritage, natural resources, forests, rivers, flora and fauna. We must develop scientific mentality to create a humane environment. Apart from protecting the properties of the country, we must keep away from all violent activities and stop others from getting involved in violence. For the progress of the country we must create an environment for development of not only our own talents, but for the talents of others also."

Sarma Sir stopped for a while and looked at all the students. Then he went on, Sarma Sir continued, "It is not enough that you only gain bookish knowledge by coming to school. This is our responsibility. Rights and responsibilities are the two sides of the same coin. You cannot demand only rights, You must perform your responsibilities for the country accordingly. What are the responsibilities of the Minister of the students Union, what are your responsibilities, we will be discussing these things in the coming few days. To be able to introduce yourself as a good citizen, you must know your responsibilities towards the country and the society from now itself.

DRUGS, TOBACCO AND ITS HARMFUL EFFECTS

The next day during the 7th period Sarma sir gathered all the students at the school play ground, where they saw that the Doctor from the local hospital was also there. Their excitement grew seeing an outsider in the school. Sarma sir said the 7th period has been given for the co-curricular activities but, it is seen that this period it not used property. Today, we have amidst us Dr. Amlan Barua. He will tell you many things that you should know.

Dr. Barua stood up. Sarma sir had felicitated him with a Gamosa by a girl student. Then, Dr. Barua started speaking "As conscious citizens, we too, have certain responsibilities towards this school as well as students like you, because you are the future of this nation. It is our responsibility to guide you forward on the right path. First, you are now at adolescence, your age is at the juncture of childhood and adulthood. At this age you will fell a lot of curiosity about life and its various experiences. And if some mischievous friend incites you to do something 'bad', you want to do it, just for Addition experience. That is the first step towards destroying your life. At this age, you undergo not just physical, but mental (psychological) changes also. Due to hormonal changes, you undergo physical changes, this is a natural process. With that, you undergo intellectual and emotional development. You think that you are now adults and want to do things like the adults. You get attracted towards the opposite sex, i.e. boys get attracted to girls, and girls get attracted to boys. Your imaginations increase-you imagine

yourself as Hero of Heroine of the movies and want to dress and style like them. You look at the mirror many times. Your restlessness increases and so does your curiosity- If I do that, what will happen? If I do this, what will happen- You want to know. It is this curiosity that sometimes leads you to do things that are harmful to you. Let me give you an example- You constantly hear, read in newspapers, see in the T.V that cigarette smoking and tobacco chewing is injurious to health- it leads to cancer. Yet, some boys from amongst you smoke cigarettes secretly and also chew tobacco. Some girls take pan masala that contains 'Gutkha'. Why? The reason is curiosity. They want to know what happens in reality and they indulge in these addictive substances. Gradually, it becomes a habit. They cannot shake off these habits and soon along with cigarette and tobacco begin to take alcohol and drugs. This becomes an addition. Remember, what you practice today will become your behaviour and that behaviour will one day become your character. Let me explain things in detail since I have the opportunity today. Try to understand well and explain to your other friends also.

You have seen posters and hoardings about these topics and so, you are not totally unaware about such problems. But, the problem is, you people do not know properly about these topics. Why do such problems arise? These things are not discussed with you openly by anyone. Neither in school, nor by your parents at home. With whom do you discuss such things? With your friends, who like you, knows half and does not know half. As a result, some wrong notions are created which harm you more.

Suddenly, Sarma sir stood up and addressing the students said, "If you do not understand or there is some confusion ask Doctor sir immediately. He cannot come everyday." As soon as Sarma sir sat down. Dr Barua started again- "If a person feels uncomfortable without partaking a certain substance then, it is understood that the person has become an addict. Addiction brings destruction to a person's life. It diminishes confidence and will power. In fact, addiction is a type of mental disease. If you notice, a person who drinks alcohol, sometimes misbehaves and a person who smokes, becomes restless if he does not get a cigarette for a long time. These are forms of drugs. Drugs are chemical stuff that can change our physical functioning.

Every student listening, could feel their heart beat faster. They had seen so many people who smoke, chewed tobacco and drink alcohol but they never imagined that these substances could destroy a persons life. Dr. Barua went on "Nowadays children like you are also said to be consuming Gutkha, dendrite and cigarette. Once they fall into this trap, their lives are not only destroyed but they become a social problem also. Does anyone here know, what are the diseases that can result from cigarette and tobacco consumption?" According to WHO (World Health Organisation) death resulting from smoking is the maximum every year. In India 8 to 9 lakh people die every year. Tobacco contains about 400 chemicals. It increases the blood pressure and blocks the flow of blood to the various parts of the body. In India, tobacco is consumed in various forms-

"Gutkha", "Zarda", "Paan Masala" and "Khaini"- about 18 to 20% mouth cancer results from these. Tobacco is a messenger of death. It is not that cigarette harms only the smoker, it harms any person near him, equally. The smoke that is exhaled by cigarette or bidi smoker contains a high amount of dangerous chemicals like lead, nicotine and carbon mono-oxide. When the person near a smoking hales the smoke these poisonous material enters into the lungs and damages the soft tissues of the heart. Small children around a smoker is prone to even more damages. They may develop bronchitis and pneumonia. They may develop ulcers, the heart may stop developing, lead to cough and also breathing problems.

Research has shown that those who swear in their childhood not to touch these tobacco products, they don't do so when they grow up. Nowadays, very young boys are heard to be taking drugs. This is emerging as a menace for the human society. The mental health of a person, who takes drugs, is completely broken. The ability to learn vanishes and the desire to work is lost. They cannot control their emotions and end up doing a lot of bad things. Such people cannot decide anything and quarrel with others, As a result of taking drugs, the brain tissues die, and the person loses the ability of micro senses leading to loss of appetite. The body's immune system is also fails. Drugs lead to liver and hear problems. It can also result in cancer of mouth, esophagus (food pipe) and the trachea (breathing pipe). The kidneys can also fail. Drug addiction requires money. As a result, the addict starts selling household items, thus destroying a home and also becomes a convulsive liar. As a result, the person's behaviour and character both are destroyed."

Dr. Amlan Barua stopped speaking. Every student looked at him. They came to learn so many things they never knew. Sarma sir stood up and said, "Why do we come to school- to gain knowledge so that we can shape our life. For that, willpower is required. The two things that help to be successful in life are- will power and confidence. If you have these, even bad company will not harm you.

Thus, it is our duty and responsibility to keep an eye on if any student has fallen in bad company and developed bad habits. In this matter the Health Minister is most responsible. Again, it is also his/her responsibility to find out whether each and every student has taken vaccination at proper time. He/she will have to inform the school authorities about the problems of every class. Health camps will have to organised sometimes, with the help of the teachers.

The Law Minister also has very important responsibilities in this regard. He she must learnt about the punishments that law has decided for consumption as well as for selling of drugs and tobacco products, and discuss about it with not only the students but also with the people of the locality. Let me tell you about some provisions made by law. According to the Cigarettes and Other Tobacco Products Act, (COPTA), 2003, clause 6, it has been prohibited to sell tobacco products to children and adolescents below 18 years of age.

- ♦ This act also prohibits children from selling tobacco products.
- ♦ It is prohibited to sell tobacco products in an area of 100 meters around

an educational institution.

- ♦ At a sale centre, tobacco products cannot be displayed outside.
- ♦ Cigarette smoking in public places is prohibited. Public place means auditorium, hospitals, Rest rooms on Railway platform, recreation centre, restaurants, meeting halls, public offices, court rooms, educational institutions, shopping malls, Cinema halls, libraries, open public spaces, Railway stations, Bus stand etc. Clause 5 says no person can directly or indirectly advertise for promotion of tobacco use.

Everyone was listening to Sarma Sir very attentively. There are so many laws and yet, our locality, the State and the country is still not tobacco free, why? Sarma Sir said, "Our Law Minister, with the help of the students will have to make the people of this locality aware about these things and get our school, this locality certified as tobacco-free." Then, Sarma Sir gestured towards Dr. Amlan Barua and continued. "Today, Doctor Sir informed you about many things you did not know. For that we extend our gratitude to him. Dr. Barua stood up and said, "But, I still have to speak about one more topic." "Oh that's good." In that case Sir will come tomorrow again to speak on that topic." Sarma Sir laughed and said. The students applauded. Dr. Barua laughed and said, "OK, I will come tomorrow." The students' curiosity increased. What will Doctor Sir speak about tomorrow.

HIV and AIDS

The next day before the 7th Period ended Dr. Amlan Barua arrived in the school. Like the day before, Sarma Sir gathered all the students in the playground. Then he said, "As promised yesterday, Sir has arrived amidst us on time. This is called discipline and punctuality. I told you that day only if you can utilize time properly, will you succeed in life. Like Sir, you also try to be disciplined and punctual. Now I request Dr. Amlan Barua Sir to deliver his talks."

Each student's face brightened up. They promised in their hearts to become good citizens. Dr. Amlan Barua started speaking again- "Yesterday, we discussed quite a lot about the bad habits that are usually attractive in adolescent age. I will speak about one more topic and then wind up for today. This is also related to the bad habits. You must have come across AIDS and HIV in books and magazines. Today I will tell you about it. The full form of AIDS is Acquired Immuno Deficiency Syndrome- "Acquire" means to gather from somewhere, "Immuno Deficiency" means weakness of the body to fight diseases and 'Syndrome' means the sign- Meaning a condition for creation of AIDS virus. HIV (Human Immuno deficiency Virus), when enters a human body that person is said to be HIV positive. As a result of this, the person's body fails to fight against diseases and at one point of time faces death. At this time, various diseases attack the person's body and the person is said to be an AIDS patient. So, you understand, AIDS is not a disease like cancer or tuberculosis (TB). It destroys a person's immune system that protects and fights against diseases, thus making the person vulnerable to all germs and diseases. However, just because a person

contracts HIV, does not mean he has AIDS, he is said to be HIV positive. When his immune system is totally destroyed, then he is said to be an AIDS patient. Thus, there is a difference between a HIV positive patient and an AIDS patient.

So, you understand, AIDS is not a disease like cancer or tuberculosis (TB). It destroy a persons immune system that protect and fights against diseases, thus making the person vulnerable to all germs and diseases. However, just because a person contracts HIV, does not mean he has AIDS, he is said to be HIV positive. When his immune system is totally destroyed, then he is said to be an AIDS patient. Thus, there is a difference between a HIV positive patient and an AIDS patient.

HIV Virus can travel from one person's body to another's through various ways-by unprotected sex; by receiving blood from an HIV positive person and from HIV positive mother to the child in her womb-apart from these ways, there is no other way that HIV Virus can spread from one person to the other." "Sir, just as malaria spreads when mosquito bites, will AIDS also result from mosquito bite?" a student stood up and asked. "No, this virus does not spread with any insect or mosquito bite." "What about sleeping together?", another student asked. Dr. Barua started laughing and replied. "This virus does not spread if someone shakes a hand with a HIV positive person, nor while swimming with him/her or even by sleeping together. It is said that being careful always saves one, so, to be safe from AIDS, being careful is the only way. Understood?"

"Yes, Sir", all the students replied in chorus.

Dr. Barua continued, "One more thing is very essential to be discussed at this time, specially for the girls. This is the monthly menstruation of girls. It is very important to discuss about it because most girls are worried about it. Due to some heresy prevalent in the society and misconceptions, the menstruation is said to be an 'impure' and 'polluted' process. This misconception is very harmful. Menstruation is a natural physical phenomena in girls. The ovaries produce eggs, which are then discharged through the fallopian tube to the uterus. As a result of non-fertilization of the eggs, bleeding happens. Every month, this process takes place at an interval of 28 days. There is nothing to be afraid about this. Only necessity is to maintain cleanliness. 'Sanitary' that is 'germ-free' napkins should be used. If you use dirty clothes you may contract various disease. So it is very important to maintain hygiene.

Dr. Barua concluded and sat down. Sarma Sir stood up to say, "Dr Amlan Barua came to our school and in these two days imparted a lot of valuable information. We hope, he will come again in the future and oblige us. The Minister will have to take leadership to create awareness in this matter. Now, you express your gratitude to Sir." All the students stood up and folded their hands in Namaskar.

YOGA FOR HEALTH AND ENVIRONMENT POLLUTION

Next day, during the 7th. period of co-curricular activities, Sarma Sir gathered all the representatives of the Students Union i.e. the Ministers and said, "Let us

go for a survey of our locality. Thus, we will be able to ponder over the problems of the locality." This was joyfully adhered to by the students and set out on the streets. While walking Sarma Sir continued, "Walking is a very good exercise. This is the Health Minister's responsibility, to bring about an awakening in this locality, with the help of all the students. Yoga keeps both body and mind fit, and cures many ailments. These good habits should be practised from childhood. Every year, 21st June is celebrated as international Yoga Day. It is the most important responsibility of the Health Minister to celebrate this day in school."

"Sir, next year we will definite celebrate 21 June as international Yoga Day", the student Union representatives almost promised. After walking ahead for sometime, they had to cover their noses. It was stinking! "

Something must be dead. It is so dirty and covered with bushes, chee!"-Pranita, a student, said while walking and covering her nose.

"Sometimes it smells like this near our school also"-replied a student covering his nose.

"Issh, How do the people around this place stay here? This will make people sick."-The students were discussing while walking on, when Sarma Sir said. "Along with the Forest and Health Minister, all of you have responsibilities in this matter. We must keep our surroundings clean. A clean environment brings peace to the mind, it encourages us to work. Our worst habit is that we throw our garbage here and there. As a result, what happens? The entire environment becomes a dirty heap from which germs of diseases are spread. It pollutes the environment-because of which we are all covering our noses now. The trees, flora and fauna, Mountains and Hills, rivers, streams, ponds, air surrounding us is the environment. We inhale and exhale air-which contains oxygen, nitrogen, carbon-dioxide, water vapour and various gases. But we only inhale the oxygen in air. We cannot live without oxygen for a moment. Only oxygen from air is essential for our body. Carbon dioxide, dust particles and some other gases are very harmful for our body. In the air, all gases are there, both beneficial as well as harmful for our body, in the correct amount. This correctly balanced air is called 'pure air'. In the big cities smoke from the industries and factories, from vehicles and the dust etc increases the amount of harmful gases in the air. This is 'polluted air'. In the villages where open spaces are all around, industries-factories are few, vehicles are less, the air is usually pure. Apart from vehicles and industries, dumped garbage from which foul smell emanates also pollute air, spreads diseases and germs among man and animal. And yet, we keep on doing those things that pollute the environment. Plastic waste pollutes both land and water and we throw these in our drains and garbage dumps. And because of our bad habit, nowadays water cannot flow through the city drainage and this leads to artificial floods. Plastic waste when burnt leads to air pollution. A survey has shown that every year about 13 million tones of plastic waste is dumped in the seas and oceans. Of the garbage dumped in the seas and oceans, 50% is plastic waste. This has not only polluted the seas and oceans but also lead to the death of about million sea-

birds and about 1 lakh animals from consuming plastic wastes or from the pollution created by plastic waste.

This is a huge challenge in front of you all. Everyone will have to be made aware that plastic bags should be banned. Bags made from cloth or paper can be used. Plastic use for packeting should also be stopped. If used, the plastic bags and packets should not be thrown away, but recycled. Plastic wastes should be given to the recyclists so that the same plastic can be reused instead of producing new plastic. Plastic wastes should never be burnt. We should always use dustbins for waste disposal and that too, two types of dustbins should be used- one, for the 'dry' waste and second for the 'wet' waste, from which manure can be made. Under the 'Swachch Bharat Mission' we must create awareness about these things, and with it, about the necessity of trees as well. Human beings will survive only when trees are there. The fact that random cutting of trees is an invitation for our own destruction is yet to be understood. Celebrating international Environment Day in the school as well as the locality will be the Forests Minister's responsibility."

Sarma Sir stopped speaking. It is a pleasure to listen to Sir. He has an attractive way to speaking and because of this beautiful presentation, all the students were listening to him with rapt attention. Sir said very seriously, "Today, go home and discuss these things with your parents and neighbours. Only discussions will not do. It is our duty and responsibility to keep our locality clean and pollution free and make it a 'model locality' of the country. We should all strive together to make our own locality the best in India.

These words of Sarma Sir made every student imagine that his/her locality has been recognised as the cleanest and tobacco free locality in India. They were being felicitated by the District Commissioner. Everyone was praising them Oh, what a wonderful day!

RULES TO BE FOLLOWED FOR ROAD SAFETY

As he was walking on the road, Sarma Sir frowned and said, "I have been noticing that while walking, you people are covering the entire road. This is creating problems for other pedestrians and vehicles. This is very wrong. We must follow all rules of road safety. While walking, always walk on the left side of the road. Helmets are a must for two-wheelers, while, seat-belts are compulsory for drivers. Traffic signals should always be obeyed. Roads should be crossed only on 'zebra crossing.' Nowadays the bike riders overtake other cars from the left side and on the U-turns they ride on the wrong side of the road. That is how accidents happen. Again boys of your age carry out bike stunts on the road. This is so wrong!

Not only the students but every person of this locality must be made aware of these rules and regulations. It is our responsibility to request everyone to follow the rules and regulations." Said Sarma Sir. All the students made a proper line and walked on the left hand side of the road.

You must follow these basic rules of road-safety, and make all the other children of the school aware about them. This is the responsibility of the Transport

Minister. It is only because these rules are not followed that nowadays we see a lot of accidents happening."

The students felt ashamed while coming to school some of them walked, some used bicycles giving little thought about these things. Once or twice, accidents almost happened. That such road rules need to be followed was never given thought by anyone. "Tomorrow in the morning prayer assembly I will inform the student about the road-safety rules," the Transport Minister said to Sarma Sir.

CHILD LABOUR : ENEMY OF HUMANITY - A CRIME :

Just then, sounds of some commotion fell on their ears. A small child was screaming loudly and someone was admonishing him. Sarma Sir listened for some moments and then started to walk hurriedly towards the commotion. The students ran after him. A furlong away, in front of a hotel, a man was beating a young child, who was pleading, "please don't beat me!" Sarma Sir rushed forward and hugging the boy, turned to the man angrily- Why are you beating the boy?"

"If he does not work, what else will he get?" the man replied haughtily. Sarma Sir and the students realised that the man was the hotel owner and the boy was a worker there.

"Do you know, keeping child labour is a crime and for that you can be jailed?"

As soon as jail was mentioned, the haughtiness of the man vanished and he looked here and there confused with shame. Sarma Sir spoke boldly, "As per the Child Labour Prohibition and Regulation Act (CLPR) 1986, no child below 14 year of age can be employed in factories, mines or in any other dangerous work. According to this Act, the Labour Ministry Govt. of India, on 10th July 2006 brought out a notification vide which, employing children as labour in house. I holds, hotels, restaurants, tea-stalls, Dhabas, entertainment areas etc. was recognised as 'dangerous' and prohibited the employment of children. Implemented from 10th October, 1986, violation of this prohibition can result in a fine of Rs. 20,000/- or one year jail, or both. According to Article 21 (a) of our Constitution every child between 6-14 yrs of age must get all facilities for a free and healthy environment to live in. Their childhood must be respectfully secure. This is to ensure a beautiful future for the children so that they may contribute in the building of a good society. Employing children below 14 yrs of age is a crime, it is injustice.

In the Indian Penal Code, Article 363 (a) provision is there or appropriate punishment of those people who kidnap children to be used for begging, and even break their limbs for the purpose. The Narcotic Drugs and Psychotropic Substances Act, 1985 also provides for punishment of those persons who use children for the illegal business of Drugs," -Sarma Sir spoke so strongly that no one standing nearby dared to say a word. The Hotel owner, with folded hands said, "I committed this crime because I had no idea about these laws. I will call his father today itself and send the boy home."

"That is not enough. Ensure that he gets the opportunity to go to school regularly. We are robbing the 'childhood' of children by employing them in hotels

and brick-kilns. We are even robbing their identity by replacing their names with the word Puwali (small one)- Sama Sir said angrily. He then began to mutter- "The activities of these guardians really surprise me. In spite of knowing that marrying off a girl before 18 yrs of age is harmful both physically and mentally for her, still get her married. Like child-labour, child-marriage is also a big crime!

Looking at the students, he continued, "This is a big challenge for the Law Minister. Common people do not know anything about the provisions of law and that is why they do such things-employ child labour and perform child marriage-awareness meetings will have to be organised to spread the information."

The students were scared to see Sarma Sir so angry. He was seldom angry. Sir become angry when he sees children deprived. The students silently followed him in a disciplined manner.

MISUSE OF INTERNET AND SOCIAL MEDIA

Sarma Sir was feeling depressed after the incident of the child labour. Apart from his classes, he was not discussing any other topic with the students. After many days, today, he attended the prayer assembly. After the prayer Sarma sir spoke loudly for all to hear- "In the last few days we discussed about the responsibilities of many members of our Ministry. Only the Education Minister is left for discussion. Today, I will speak on one such a topic which is not the responsibility of the Education Minister alone, but all of us need to think about it. It has both positive and negative side, so that we can remove the negative, and utilise the positive side to make our life successful, I am bringing up this topic." The students began to wonder what could be such a topic? Sir continued, "The topic is 'use of social Media. 'You, of course, don't use mobile phones. I don't know if you use at home, but in school we have not allowed it yet. What do you do with the mobile at home?"

The students shyly bowed their heads and looked down. Sir said with a smile, "You play games. Yes or no? actually that is also an addiction. Your elder brothers and sisters are busy on facebook and whatsapp all the time. As a result so many antisocial incidents are happening We see daily on television and newspapers. If social media is used to gather information or to exchange constructive ideas with someone, then it is a very good thing. But, it is seen how false news is spread, instigating matter is spread to excite people and create an indiscipline environment. Nowadays it is seen some people deliberately spread rumours in social media and many others without find out the truth 'share' that information to others. This is mis-use at social media This mis-utilisation of internet for criminal purpose is called 'Cyber Crime'. "Stealing information from someone's computer (hacking) and using someone else's e-mail address for wicked purpose, stealing someone's bank card number and then emptying the account; Using mobile phone to capture someone's indecent photograph secretly or stealing someone's photograph with indecent intentions of uploading the same in facebook or like websites ; using such photographs for blackmailing; these comprise Cyber Crime. To tackle Cyber Crime and punish such criminals, law has been enacted, according to

which both fine and jail provision is there. If someone spreads false news, instigating matter or indecent photographs, the Information Technology Act, 2000, article 69 (a) and 79 states that spread of such things can be stopped by informing the concerned authorities.

“We really hope that at least you will never indulge in such activities and if someone does, it is the duty of the Students Union to inform the school authorities. One more thing, the advertisements that you see in different mediums, don't get carried away by them. It is because of these advertisements that you get attracted towards the eatables like 'chips' packets. These are good to eat but too much is very harmful for health. For nutrition, green vegetables, fruits, milk etc. that helps keep balance of the body should be eaten. Now, go to your own classrooms. In the 7th period, students of the senior classes will assemble. Today, the School-Inspector will be visiting our school and he will speak to you regarding some important aspects of education.”

OUR RESPONSIBILITIES TOWARDS THE DIFFERENTLY ABLED STUDENTS.

In the 7th. period, the students assembled on the play ground. All the teachers accompanied the School Inspector to the playground. Sarma Sir welcomed him and introduced him to the children. The Inspector said, “Let us not waste time and go to the topic I have come to discuss with you. The topic we will talk about is not just your, but the responsibility of all in the society”. The topic is ‘What is our duty, towards the differently abled students?’ With the 89 Amendment of the constitution, every child between 6-14 yrs was given the right to education as a fundamental right. It is our primary responsibility that as far as education is concerned, the differently abled children will be given equal importance like any other child. We should never say anything or behave in any manner that may hurt the emotions of a differently abled student. Secondly, if you have such differently-abled students in your school, you help them while coming to or going from school. Again if they do not understand something in the class or cannot do something you must help them. Never neglect them. Let's say, such a student has problem with eye-sight. Always let that student sit on the front benches. If suddenly such a student falls ill, then you should let the teachers know immediately- In this regard responsibility of the members of the students union increases. According to the census of 2011, out of India, 2.21% ie. 2.68 crore persons are differently abled. We cannot think about the overall development of our country without including them. This right has also been given to them by the Rights of Persons with Disabilities Act, 2016.

There is another problem that is becoming a menace among our student community. Of courses this is limited to the colleges, particularly in the college hostels. And it is 'Ragging'-by which the senior students are seen to torture the junior students both physically and mentally. The important point here is that, though this problem is seen at the college level, the mental foundation is created right in the childhood. We must acquire such values in our High school days itself,

which teaches us to respect everyone. Anxiety and short-temper are natural tendencies among students, at this age. But this anxiety and short-temper does not help in the foundation of life. Such tendencies need to be controlled and it is through yogasana and Pranayama that this control can be brought about." He looked towards the teachers and continued "I am speaking elaborately about these things so that from this age itself the students should be acquainted with the topic of Human Rights' and they can spread awareness in their localities too. This will lead to decrease in the incidents of Human Rights violation and at one time, completely stop the anti-social activities. To make every student aware about the Human Rights issues, drama, quiz or elocution competitions may be organised every month. And for this, the initiative will have to be taken by the cultural Minister of the school. In such programs, the development schemes of the government should also be discussed, for example, under the 'Sarva Siksha Mission' free admission, free textbook as well as free uniforms have been provided. As such, students should know about the 'Sarva Siksha Mission', In the same manner discussions on other schemes like the "Swachh Bharat Mission", etc, should also be organised by the Students Union in association with the teachers."

The inspector thanked everyone and took his seat. Sarma Sir stood up and addressed the students- "Sir has spoken about some very important aspects about our responsibilities, and we will definitely try to execute them. The objective of all-round development through education will be achieved, future welfare of the country and the people will be achieved only when you, right from your student days are guided by healthy principles and you perform your duties and responsibilities well. In these time of amazing developments in Science and Technology, if we cannot protect social equality through the education of values, the real objective and target of gaining education will be lost. You will be educated yes, but you will not be prosperous with human qualities. Right from the student days, the bravery to lead one's people and country must be acquired. Honesty belief in justice and patience-practice must be done to acquire these qualities. Remember that day I told you-what you practice today will become your behaviour tomorrow and that behaviour one day will become your character. Shape your character during your students stage."

With this the meeting was concluded and the Inspector, along with teachers walked out from the playground towards the school building. All the students watching, felt a deep sense of respect. Today, they had been shown the correct path to shape their lives.

WASTAGE OF FOOD AND OUR INSENSIBLE BEHAVIOUR

In this two days the atmosphere of the school has changed. All the students are carrying out their responsibilities properly. While using the roads, all the road-safety measures are being followed. If someone rides by without a helmet, they shout out, "Dada, wear a helmet! wear a helmet." If any differently abled student is seen while coming to school, help is extended. The school campus is being

beautifully cleaned. No orders are required. All responsibilities are being carried out. Proper monitoring is being done to see if any student is using any drugs substance. Most students are even practising yoga and pranayam at home. The teachers are amazed at this transformation of the behaviour and etiquette of the students. And for this everyone expressed their gratitude to Sarma Sir, who smiled and said, "I did not do anything alone. It was the support and cooperation from all of you that has made this possible."

After a few days everyone saw in the prayer Assembly, Sarma Sir brought with him a professor from the college nearby, who had been a former student of this school. The professor was known to all because of this thought Provoking writings in newspapers and magazines on a regular basis. The students were very excited to see the former student of the school. At the end of the Prayer, Sarma Sir introduced the Professor to the students and said, "He is our former student and today, is a respected personality of Assam. You must have seen his name in the pride of our school. Today, I have invited to speak on a very important topic".

The Professor folded his hand in a Namaskar and said, "Actually, I too, have a responsibility towards this school. I should have come myself and today, when Sarma sir invited me, I was more than happy. Today, I will discuss a bad habit we all are indulging in, but no one takes it seriously." Along with the students, the teachers were also surprised- what bad habit did they all indulge in, but did not take seriously? The Professor smiled and said, "Have you ever noticed that when weddings, birthdays, wedding-anniversary's or other public functions are organised. how much food is wasted? People in such party's pile up their plates with food but cannot eat even half of it. Have you seen it?

"Yes, Yes, we have seen" - everyone chorused.

This must have happened in your case also. You see meat and you pile up your plate. But, after eating only half you throw away the rest.

All the students realised the words and bowed downed their heads. The teachers were also feeling awkward. It was true, they too wasted food! The professor continued. "This is our very bad habit. In our country there are many people don't get one square meal a day. Moreover, the farmers work so hard to produce the food items. But we waste so much of food in moments without giving it a thought. We did a survey and according to it 90% people have opined that the maximum food wastage happens in wedding receptions. About 32% people say that in birthday and wedding anniversary parties a huge amount of food goes waste. 50% people said that in workshops, Conferences and public functions, a large amount of food wastage is seen. Have you ever thought why food is wasted in such a manner"?

Everyone started to think- so much of food is wasted, and no one has thought about it! when no one responded, the professor said, "72% people have opined that the number of food items ranging from 20-25, that is laid out in the parties tempt people to taste them all. This greed, which has become a habit with most

people, thus leading to this wastage. And the saddest part is that they are totally unaware of how much damage they are doing to the country's economy. They are just not bothered about this wastage of food. Again some people waste food in hotels and restaurants in a false show of elitism. These are findings of our survey. Our insensitivity to this matter shows our irresponsibility to our society and country."

Everyone was serious and thoughtful. "Yes, we are all guilty of this waste!" The professor continued- "Having understood the important of this matter can we all decide not to waste food from now on?" Everyone agreed to his words. He went on. "Since we are talking about food, let me add a few essential things.

For good health, hygiene is very important. Before eating and otherwise also, we should regularly wash our hands for at least 20 seconds. To protect ourselves from germs, wearing a mask is essential. Plus, drinking warm water at regular intervals is essential to protect the immune system. We should practice yoga, pranayam and meditation for at least 30 minutes everyday. These will help us keep healthy." Sarma sir applauded this words and everyone present also clapped their hands. Sarma Sir thanked the Professor and said, "We discussed such important things today right. Remember, a healthy body leads to a healthy mind and that will help us to climb the ladder of success in Life."

Everyone clapped and thereafter went to their own classrooms in a disciplined manner

WHAT WE HAVE LEARNT AND UNDERSTOOD

The next day, after the prayer, all the members of the Students Union came up to the Verandah. All the teachers as well as the students were surprised at this. The Chief Minister of the Students Union said. " We the students of the school, are a big energy of this locality and we will utilise this energy for the welfare of the society along with our own prosperity."

The Education Minister said, "This energetic group of ours will keep an eye on whether or not every child in our locality is coming to school. We will also keep track if any boy or girl leaves school mid way. Usually in the villages and backward places, girls are used for household work by the parents instead of sending them to school, In many places they are married off very young. Child marriage is a social crime. We will create awareness about these things." The Forest Minister said, "All of us will keep our school as well as our locality clean. We will have all the garbage of our locality dumped in one place and arrange for its disposal. We will also plant all sorts of fruits and other trees." The Health Minister said, "We will see that all the students of the school take their vaccinations to fight various disease on time. We will keep a sharp eye that no one uses any addictive substance and that every student maintains cleanliness and hygiene. We will also monitor whether they trim hair and nails regularly or if anyone is suffering from any disease etc." The Law Minister said, "for uprooting child-labour, child-marriage, use of intoxicating substances, drugs etc, we will periodically invite experts on the laws regarding these issues and

organise awareness meetings, and get our school and locality recognised as tobacco free model. The Cultural Minister said, "Every student of our school has some special talent. I will work towards the development and expression of those talents." The Chief Minister spoke again, "We will be a force and work with the help of everyone. Today we request everyone for the support." Everyone was overwhelmed by this call of the members of the Students Union. Sarma Sir came forward and started clapping. Everyone started clapping in respectful solutions

Directives for the teachers :

1. The teachers will first acquaint the students about the topics of the lesson through reading. Explain every topic in details for example, the Constitution of India may be explained elaborately.
2. First, let the students speak about Child-Rights. Thereafter the teachers will explain each point in details citing examples.
3. Make the students prepare project work on Violation of Child Rights (in different parts of the world). Divide the students into different groups and every group will prepare a different project.
4. Though the lesson mentions 'Children's Day' other such 'Days' can also be utilised by the teachers for activities related to that particular Day. E.g. 1st December is World AIDS Day. On that day, a local Doctor can be invited to speak on "AIDS and the menace of Drugs". A quiz can be organised among the students on the same topic or even a drama, written by the teachers or students can be staged.
5. On 21st June, celebrate International Yoga Day in school. You can engage the local youngsters in this programme.
6. On 4th. June, on the occasion of World Environment Day, divide the students into groups and let them clean a locality each. Teachers will also participate in this. While this activity is on, the teachers will explain about air, water, sound and soil pollution in details with examples.
7. To explain about Child Labour as mentioned in the lesson, a drama on that students can be staged. incident can be staged or another drama written by the teachers or the students can be staged.
8. A Drawing competition can be organized on the various aspects of Road-Safety.
9. There are books available about "Adolescence." Teachers will explain these in details.
10. Along with the school premises, if possible take up plantation drive in the locality also. Importance of planting trees can be explained there itself.
11. After completion of the various activities, the teachers will explain the lesson once again and through various questions evaluate whether the students have understood or not.

Project :

The following projects are to be made by each student -

1. On a political map of India, write the number of Lok Sabha seats of each state, the number of Rajya Sabha seats of each state and the number of Legislative Assembly seats of that particular state.
2. To make a list of the steps that will have to be taken to get one's locality and school recognised as a "Model locality" and 'Model school'. (This project may be done in groups or individually)
3. Make groups and send the students to make a survey on air pollution, water pollution and if there are any Child labour, in the locality,
4. Make the students prepare a list of the various diseases common in the locality, and the causes of these diseases after meeting the doctors in the local hospital.
5. With the assistance of the teachers, the students will make a survey of 100 metres around the school, if any tobacco products are being sold and if required, inform the administration.
6. Prepare a list of rules for Health Preservation (Separately for boys and girls)
7. To organise an awareness camp in their own village/ward, about Road Safety. In the camp, awareness will be on:
 - (a) to wear Helmet and save one's own life.
 - (b) to wear Seat-Belt while driving.
 - (c) to avoid driving without licence.
 - (d) how to cross the road carefully.
 - (e) to avoid high-speed driving of bikes and cars etc.
8. To prepare a project on Cyber Crime.
9. To organise awareness meeting in one's own village, on the causes of road accidents. ***Main causes that to be highlighted are-***
 - a. Driving after taking intoxicants.
 - b. Carelessness when entering the main road from by-lanes.
 - c. Driving on the wrong side instead of using the proper U-turn.
 - d. Misuse of driving rules.
 - e. Driving without license.
 - f. Guardians allow underage children to drive.
 - g. Performing stunts while driving on road.
10. Write a note on how food is wasted in the wedding, birthday or public functions organized in you locality.
11. Write a note on how wastage of food impacts the economy of our country.

About the Writer

Jayanta Madhab Borah is an eminent writer and translator. He was born on 26th December, 1960 in Dergaon, Golaghat. Now he was permanently resided at Panjabari, Guwahati. He holds Master Degree in Physics and B.Ed. Degree. He is currently working at Assam Secretariate, Dispur.

He began writing from his childhood. His first Novel Amrit, for which he got Giridhar Sarma award from Asom Xahityo Sobha was published in 1987. His first short story collection Judhdhobhumi was published in 1987. His works includes 14 Novels, 8 short stories collection, 5 Children books, 2 research based book. He has also translated 6 books from English to Assamese. He has also edited several books and written and directed 12 Video Documentaries and 64 TV serials. He is the recipient of the Ambikagiri Roy Choudhury Award for his short story collection "Jakoiya Sowali". He has also received Syed Abdul Malik Award and Sahitya Akademi Award for his novel Moriahola. He also received B.R. Ambedkar Literature National Award in 2019.